

Mangalore Refinery & Petrochemicals Ltd. (MRPL)

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Call: May 2024

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MANGALORE REFINERY AND PETROCHEMICALS LIMITED

argr4 wchit T3, SCHEDULE 'A' GOVT. OF INDIA ENTERPRISE.

(diiqo tFR toivakii fecart *791, A SUBSIDIARY OF OIL AND NATURAL GAS CORPORATION LIMITED)

ntlaat. 9001, 14001 gd 50001 JoitPicf *1191-, AN ISO 9001, 14001 AND 50001 CERTIFIED COMPANY.

Iftairki/CIN : L23209KA1988GO1008959 tf4:176 Website : www.mrpl.co.in

09/05/2024

The Assistant General Manager, Listing

Compliance

BSE Limited

Scrip Code: 500109, ISIN: INE103A01014 The Compliance & Listing Department

National Stock Exchange of India Limited

Symbol: MRPL, Series: EQ,

ISIN: INE103A01014

Dear Sir/Madam,

Sub: Transcript of Conference Call held with Anal st and Investor for discussing the Audited Financial Results of Q4 FY 2023-24.

Reference: Our letter dated April 23, 2024 and May 06, 2024.

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, we submit herewith the transcript of the Conference Call on Audited Financial Results for the quarter and year ended March 31, 2024 held on May 06, 2024. Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the call.

We request you to take the above information on your records.

Thanking You

Yours faithfully,

For Mangalore Refinery and Petrochemicals Limited

Premachandra Rao G

Company Secretary

Encl.: A/a

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Regd. Office : Kuthethoor P.O. Via Katipalla, MANGALURU -575 030 (India).

"Mangalore Refinery and Petrochemicals Limited

FY`24 Earnings Conference Call"

May 06, 2024

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MANAGEMENT: MR. M. SHYAMPRASAD KAMATH -- MANAGING

DIRECTOR --MRPL

MR. VIVEK C. TONGAONKAR -- DIRECTOR FINANCE

AND CHIEF FINANCIAL OFFICER - MRPL

MR. SANJAY VARMA -- DIRECTOR REFINERY -- MRPL

MR. BHV PRASAD - EXECUTIVE DIRECTOR,

PROJECTS -- MRPL

MR. YOGISH NAYAK -- HEAD OF FINANCE MRPL

MODERATOR: MR. AMIT RUSTAGI - UBS SECURITIES

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Moderator:

Amit Rustagi:

Vivek Tongaonkar: Mangalore Refinery and Petrochemicals Limited

May 06, 2024

Ladies and gentlemen, good day and welcome to the FY24 Mangalore Refinery and Petrochemicals Limited Earnings Conference Call hosted by UBS Securities. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Rustagi from UBS Securities. Thank you and over

to you, sir.

Thank you. Good morning, everyone. I am Amit Rustagi, Executive Director Research with UBS Securities. On behalf of UBS Securities, I welcome you all to the Q4 and FY24 earnings call of Mangalore Refinery & Petrochemicals Limited. We have the pleasure of having with us today the senior management of MRPL, represented by; Mr. M.S. Kamath, Managing Director; Mr. Vivek Tongaonkar, Director Finance and CFO; Mr. Sanjay Varma, Director Refinery; Mr. BHV Prasad, ED Projects; and Mr. Yogish Nayak, Head of Finance. I welcome the entire team of MRPL to be with us.

Now I would like to hand over the call to the management for the opening remarks, which will be followed by a Q&A session. Thank you, sir, and over to you.

Thank you, Amit. Good morning to everyone. Thank you for joining today's call. I am Vivek Tongaonkar, Director Finance and CFO of MRPL. I trust all of you are all well. As Amit has already mentioned, I have over here with me our; Managing Director, Mr. Shyamprasad Kamath; our Director Refinery, Mr. Sanjay Varma; our ED Projects, Mr. BHV Prasad; and our Head of Finance, Mr. Yogish Nayak, along with our finance team over here.

Today I will discuss our financial and operational results for the past quarter, Q4, outline our strategic initiatives and explain how these efforts align with our long-term objectives. We will also explore the challenges and opportunities we anticipate as we move forward.

Let us begin with our financial performance for the quarter ending 31st March, 2024. In Q4, we achieved a gross refining margin of \$11.35 per barrel, a significant improvement from \$5 per barrel in the Q3 of financial year 23-24. For the fiscal year 23-24, our GRM stood at \$10.36 per barrel, better than the GRM of \$9.88 per barrel for the previous year. Consequently, for Q4 of financial year 23-24, the PBT, Profit Before Tax and PAT, Profit After Tax numbers stand at INR1,766 crores and INR1,137 crores respectively.

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On operational basis, MRPL has posted the highest ever PBT and PAT in the financial year 23-24. The PBT for the financial year 23-24 stands at INR5,521 crores, which is 30% higher than the PBT of INR4,239 crores last financial year. Similarly, profit after tax for the financial year 23-24 stands at INR3,596 crores, which is 36% higher than the profit after tax of INR2,638 crores last financial year.

The net worth of the company has increased to INR13,251 crores from INR9,835 crores in the last financial year, a 35% increase year-on-year. Additionally, the company prepaid some of the high interest bearing loans in the last financial year amounting to INR3,183 crores. Total loan repayment in the financial year 23-24 was INR5,058 crores. The debt-equity ratio has therefore improved from 1.70 as on 31st March 2023 to 0.94 as on 31st March 2024.

Coming to the physical performance, the company achieved a throughput of 4.6 million metric tons in Q4 of financial year 23-24. This is the highest throughput ever in Q4 for the company. Further, the throughput for the whole fiscal year 23-24 stands at 16.59 million metric tons and this is the second highest ever, despite a major plant shutdown which occurred during Q2 of financial year 23-24.

MRPL also posted highest ever distillate yield of 79.27% in Q4 of 23-24. The yield for the financial year 23-24 stands at 78.77% versus an already high number of 78.11% in financial year 22-23. The fuel and loss reported was lesser at 10.46% for Q4 and 11.02% for the fiscal year 23-24 versus 11.13% in the fiscal year 22-23.

The company also constantly focused on bringing in value through diversified crude sources and hence procured and processed three new crudes during the year. The three crudes were Siberian Light from Russia, KGD-6 crude from Reliance BP's Ruby FPSO East Coast of ICalcinada, India during February 24 and KG98 crude from ONGC's East Coast Block during March 2024. MRPL has further enhanced the capacity of desalination plant from 30 MLD to 40 MLD and hence now is not dependent on river water during the summer months.

This move has paved the way for MRPL to constantly run on consistent throughput throughout the year. MRPL also won many accolades to its name during the year. Notable awards were Best Innovation in Refinery Award in Energy Technology Meet 2023, GEM Star Buyer Award from Government of India.

MRPL also became the first AS9100D certified refinery in India and internationally recognized certification for ATF production and distribution. The certificate established the best practices followed by MRPL with respect to ATF production and distribution. Coming to marketing, MRPL achieved the mark of 100 retail outlets in the financial year 2023-2024.

The average sale per retail outlet is around 150 kL per month which is higher than the industry average. Totally we sold 154,000 kL of product earning INR76 crores over the RTP. As we are there, we have currently got 103 retail outlets already functioning. We have also started

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Moderator:

Sabri Hazarika:

Vivek Tongaonkar:

Sabri Hazarika: Mangalore Refinery and Petrochemicals Limited

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manufacturing and marketing Mineral Turpentine Oil, MTO, from Q4 onwards. MTO is a key raw material used in paint industry.

We are excited about our strategic direction for the future. Significant planning is underway for new projects aimed at enhancing our refineries GRMs by enhancing the PET-CHEM intensity from the current 10% to 12.5%. We anticipate an investment of approximately INR8,000 crores over the next five years, primarily funded through internal accruals. We are also planning to launch some of the products through our patented technologies. One is Isobutyl Benzene for which significant progress has been made and pilot plant is already awarded.

Additionally, we are steadfast in our commitment to sustainability aiming for net zero emissions by 2038 in line with our parent company's goals. The refinery is already taking RLNG as a feed and can consume up to 0.65 MMSCMD of RLNG. Discussions and strategy to reduce the fuel and loss is firming up and project to import the grid power is on track.

The targeted actions will not only build on green credentials of the company but also add to the bottom line substantially. MRPL has also paid its first ever interim dividend of INR1 per share which is 10%. The board during its meeting on the 3rd May 2024 has also proposed a final dividend of INR2 per share which is 20% subject to shareholder approval at the upcoming annual general meeting. Looking ahead to the next year, we are targeting a throughput in excess of 17 million metric tons with no planned shutdowns aligning with our strategic focus on maximising asset utilisation.

Despite the volatile market for crude and refined products, these challenges also present opportunities for MRPL to innovate and adapt. Our team is committed to leveraging our core strengths and agility to capitalise on these opportunities. In conclusion, while the past year's presented challenges, our performance underscores MRPL's resilience and potential.

I am confident in our strategy and our ability to drive sustainable growth and create shareholder value. I would like to express my gratitude to our dedicated employees and our loyal shareholders for their continuous support and trust. We will now open the floor for any questions as you may have. Thank you very much.

Thank you very much. The first question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

I have a few questions. Firstly, on the capex, I think in FY24 you had around INR1,500 crores of capex is that right and what was it spent on?

Yes, that is correct and we have spent this capex on our Devangonhi Terminal and other projects that have been there which are all in-house as of now.

Okay, so these are all like low ticket size projects or was there other than Devangonhi Terminal, was there any like larger size projects?

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Vivek Tongaonkar: No, these were all smaller size projects only.

Sabri Hazarika: Okay, sir. Secondly, you mentioned that 0.65 MMSCMD is the amount of RLNG that you can take or is that the amount you are taking right now?

Vivek Tongaonkar: That we can take, maximum.

Sabri Hazarika: Okay, and as of now what would be the intake of RLNG?

Vivek Tongaonkar: 0.4 MMSCMD.

Sabri Hazarika: 0.4 is the current intake. Okay, sir. Thirdly, any update on your green hydrogen tender that you have, Electrolyser tender that you have released probably a year back?

Vivek Tongaonkar: No, that was an EOI. I will let Mr. Prasad who is our ED, Projects, he will clarify on this issue.

B.H.V. Prasad:

Sabri Hazarika:

B.H.V. Prasad:

Sabri Hazarika:

B.H.V. Prasad:

Sabri Hazarika:

Vivek Tongaonkar:

Sabri Hazarika:

Moderator:

Kirtan Mehta: Yes, the green hydrogen projects, earlier it was only expression of interest to know various technologies available and the suppliers. Now the board has approved the green hydrogen project

and we will be implementing the green hydrogen projects within the refinery.

Right, any capex number for that?

It is about INR50 crores.

INR50 crores, okay. And the specs will be similar to what the EOI document has said, right?

Yes, something similar to that.

Okay, sir. And last question, I don't know whether you would be able to answer that or not. Any update on merger with HPCL?

No, we don't think we are not aware of anything that has been going on this issue. I believe that would be more for ONGC to take a view, ONGC HPCL.

Right, sir. Thank you so much and all the best. Thank you.

The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Thank you, sir, for the opportunity. In terms of, you mentioned that you are currently undertaking around 0.4 mmscmd of LNG and you have the ability to go up to 0.65. At what level of prices you would be like to maximize this? How does the switching happen between the RLNG and the internal consumption of fuel?

Vivek Tongaonkar: On the RLNG front, yes, we do have capacity to go up to 0.65. This was more dependent upon the prices of RLNG, which were much higher earlier on. But now, yes, now that these prices

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have gone down, we are in the process of tying up RLNG and we'll be suitably increasing this quantum also. It's just a question of when it happens.

Kirtan Mehta: So whenever the LNG price is under \$10, can we assume that it would be beneficial to operate at full capacity, 0.65 MMSCMD?

Vivek Tongaonkar: Yes.

Kirtan Mehta:

Vivek Tongaonkar:

Kirtan Mehta:

Vivek Tongaonkar:

Kirtan Mehta:

Vivek Tongaonkar:

Kirtan Mehta: And in terms of the Russian crude usage, what was the average usage during the quarter as well as during the year? And what were the discounts that we would measure related to the other basket?

So as far as the Russian crudes are concerned, broadly, they would be in the levels of what you have for the industry as a whole, which is typically between 30% to 40% and discounts, we would not be able to put a figure on to it because these have been separate differently, but discounts are still there for Russian crudes.

Right. And is the usage likely to continue at this rate for next one or two quarters? Do you have some visibility on the same?

As we are always looking at crudes which give us most value. So if these crudes continue to give us value, then we would certainly be looking at them.

Right. And in terms of the Venezuelan crude, have we been able to use that as well? And would it come at a discount to the other crude basket?

We have not used Venezuelan crudes now. And we understand that they are not available so freely. I believe, again, some sanctions are coming up on the Venezuelan crudes.

One more question, if I can squeeze on the margin. So in terms of the near-term market environment, are we seeing sort of the easing down of the spreads? And do we expect this easing to continue for next one or two quarters?

Vivek Tongaonkar: We have found the margins to have come down. As of now, we would not be in a position to hazard anything. But we believe that this should be the level at which they should continue.

Kirtan Mehta:

Vivek Tongaonkar: Particularly the gasoline margins per se have started easing. And now I think the main support from diesel can probably come only towards November, December when European winter starts.

So in the absence of both the drivers sort of narrowing down, is it fair to assume that margins may not sort of make, could also go down further from here?

We are not anticipating too much a drastic fall on the margins as of now. Although these margins have come down, but they are a factor of a number of, they are also subject to geopolitical and other factors. So we are, we do not think that this would drop too much as of now.

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Kirtan Mehta:

Moderator:

Rwibhu Aon: Mangalore Refinery and Petrochemicals Limited

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Thanks for this clarification.

The next question is from the line of Rwibhu Aon from UBS. Please go ahead.

Thanks for the opportunity. First, I wanted to ask what was our distillate yield this year? How it differed, especially for the key products as compared to last year? And if any of our small scale projects is actually going to improve our distillate yield going forward?

Vivek Tongaonkar: Okay. For the quarter four last year, we had a total distillate yield of 79.27% out of which light distillates were 29.4% and middle were about 50%. Then for the previous year, '23-'24 financial year, it was 78.77%. Light distillates were about 28.45% and middle distillates were again around 20%-50%.

Rwibhu Aon:

Vivek Tongaonkar:

Rwibhu Aon: This is for FY'24 or full year.

FY'24.

Okay. And any indicative number for the next year if we are planning to improve the distillate yield or any particular key product?

Shyamprasad Kamath: It could be on the similar levels or we may be slightly there could be whatever margins are there, we will exercise that. Maybe plus minus another 0.5%, plus 0.5%, not minus, 0.5% plus.

Rwibhu Aon:

Vivek Tongaonkar:

Rwibhu Aon:

Vivek Tongaonkar: Understood. And, sir, we were, I think, producing more reformat given the spreads before. So, can you please tell us in what mode are we operating the plant currently? And how do you see it changing over the next few quarters?

As of now, the aromatic complex is operating on the reformat mode and the outlook is also that we may continue at least for this quarter on the reformat mode. Going forward, we do analyze it very closely and depending on how the economics are moving, we will be switching over to Pam xylene mode if the economics looks healthy.

Okay. And, sir, lastly on capex, of course, you mentioned our capex plans in terms of how you are looking at it, but broadly in FY '25 and FY '26, do you have any annual capex numbers that you can share with us?

For this year and next year, as of now, the routine capex would be around INR1000 crores, which continue. And we have, as I have already mentioned earlier on, we have new projects lined up, which would be around INR8000 crores over a period of next five years. These projects are under conceptualization and finalization for DPR.

Once they are ready, I think maybe after this, in the quarter three, we will be able to throw more light as far as the capex plans are concerned. So, but broadly, it should be around maybe 2000 crore odd maximum additionally for these capex projects.

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Rwibhu Aon:

Moderator:

Sabri Hazarika: Mangalore Refinery and Petrochemicals Limited

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Okay, sir. Thank you, sir. I'll come back in the Q&A queue.

The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Yes, thank you for the opportunity. So, a couple of more questions. Firstly, on this KG 98/2 crude, So, this is, I mean, from, I mean, are you regularly taking it right now? Or was it just a testing cargo? Have you signed any, I mean, any kind of contract with ONGC for that?

Vivek Tongaonkar: No, we took first two cargos, which were there from ONGC. Now ONGC would also be going into that auction mode. That auction mode would be carried out by ONGC and depending upon who wins that cargo, it would be taken by that company.

Sabri Hazarika: Okay, and can you give us some idea on this crude? I mean, is it a, I mean, what could be the API and the sulfur content and all? Is it like, I mean, are you, is your refinery like getting benefit out of that crude or it is like any other crude?

Shyamprasad Kamath: It is a low sulfur crude and you can say, we can comparable say with Mumbai high levels kind of a thing. Maybe there could be some plus minus on the cut yields on the particular range, but it's a low sulfur crude and we can compare with Mumbai High.

Sabri Hazarika: Okay, but you are open to like taking this 12,000, 13,000 barrels per day, what they are producing right now?

Shyamprasad Kamath: Yes,

Sabri Hazarika: It's like fitting your refinery configuration overall?

Shyamprasad Kamath: Yes, yes.

Sabri Hazarika: Okay, sir. Yes, thanks. And secondly, on the marketing side, I mean, you are like expanding retail outlets, but the marketing outlook again is like little bit volatile. So we've got margins fluctuating significantly. So, and of course, you have made 1NR76 crores, which is like quite commendable, but last year has been like quite good for everyone.

Vivek Tongaonkar: So given the current circumstances, you're still fine with your like retail expansion plans or is there a relook into it? And you had like, I think 500 retail outlets sort of a permission. So are you going ahead with that number?

Yes, I would say that we are continuing to look at marketing positively. We have a target of 1000 outlets by '26, '27, and also sales of 1 million metric tons products through these retail outlets. There could be small periods wherein retail outlets may not make money or there would be certain issues as far as the pricing is concerned.

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Sabri Hazarika:

Vivek Tongaonkar:

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Sabri Hazarika:

B.H.V. Prasad: Mangalore Refinery and Petrochemicals Limited

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But on in the long run, we are sure that it is good to be in this retail outlet. If you see it gives us a better price than RTP also. So compared to exporting our products, if we have a retail outlet, we get the better margins in most of the periods.

Right, so and sir, last question, any update on your 2G, ethanol and bio ETF plans?

Yes, Mr. Prasad would be able to tell you.

Yes, regarding bio ETF, the board has approved the project of the bio ETF and we are in the process of finalizing the consultant for the execution of the project. We'll be shortly, we'll be finalizing and moving ahead. This particular project is coming within the refinery complex.

As regards to 2G ethanol, we are looking into various options to make the project more viable.

As of now, the Board has asked us to look at various options to make the project more viable.

As of now, the project is not viable. So we are not moving ahead unless the project becomes viable.

Okay, sir. And on the Bio-ATF, how much could be the capex and do you have the confidence of airlines in terms of like offtake, because airline companies generally tell that it is almost like 3x, 4x the price of hydrocarbon -based ATFs. So I know they have got their own sustainability goals. So are you confident -- I mean, what could be the capacity, the capex and your confidence in placing them with domestic airlines?

Capex is about INR350 crores.

INR250 crores, okay.

INR350 crores. And we are confident of selling this product at premium because internationally by 2027, it is mandatory that the -- SAF blending is mandatory. So we are confident of getting the margins. Even a lot of airlines as well as international airlines have shown interest.

Okay. And what could be the capacity and what exactly is the capex for, would it be a new plant or it would be like a blending sort of a thing or is there some other process altogether for that?

Yes, now this particular plant is what we are putting up is a demo plant, which is a 20 KLPD plant. We are also looking into the possibility of other modes of producing sustainable aviation fuel. They are also in advanced stage of study.

So it's a facility, right? I mean, it's a unit that you have to set up.

It's a unit which is coming up right now. The Board has approved one unit which is coming up, which is going to be constructed within the refinery.

Okay. And the feedstock will not be crude oil, it will be something else?

Feedstock will be vegetable oil, used oil, cooking oil, and which is available plenty in the region.

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Sabri Hazarika: Mangalore Refinery and Petrochemicals Limited

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Okay, sir, got it. Thank you so much. Thanks a lot.

Moderator: Thank you. The next question is from the line of Avishek Datta from Anand Rati Share and Stock Brokers Limited. Please go ahead.

Avishek Datta: Sir, I just wanted to know what was the inventory gain for this quarter and for the full year.

Vivek Tongaonkar: Our inventory gain for this year was \$0.58 per barrel. And what was the next question?

Avishek Datta: And for the quarter?

Vivek Tongaonkar: The quarter, it was around \$1.

Avishek Datta: \$1. Okay, sir. Okay, thank you so much.

Moderator: Thank you. The next question is from the line of Amit Rustagi from UBS Securities. Please go ahead.

Amit Rustagi:

Vivek Tongaonkar: Yes, thanks, sir, for giving this opportunity. Sir, first question relating to the capital allocation.

Now, we have seen that the company is making significant amount of profits. So, how are you going to utilize the profits? This year's money has gone into repayment of debt. But going forward, like how much repayment of debt we can consider? How much additional capex we can consider? And are we in for taking some big project for maybe four to five years going forward? So, can you give us slightly medium to longer term view that how we are looking at the situation?

Okay. So, as far as I've already mentioned, we have got additional capex also lined up. We have a grid upgradation project coming up, which would -- grid power upgradation project coming up, which would help us to import power through the grid and reduce our own captive power. So, that is coming up in '25-'26. We already have an IBB plant, Iso Butyl Benzene plant, which I have already mentioned in the start. Bio-ATF plant is coming up.

Green hydrogen plant is also there. We have got certain jetty infrastructure and pipelines, modifications and upgradations to be done. All these projects would come in '25-'26. Apart from this, as I've already mentioned, we have projects for enhancing our Petchem from 10% to 12%, which would be about INR8,000 crores over a period of five years. So, broadly, it would be another INR2,000 crores additionally from next year onwards.

Starting with even from this year, we would have certain additional work going on, on these Petchem projects. So, that is how we are planning to spend for the future years. We do have approximately INR1,000 crores annually spend, which is a regular sort of a capex requirement for this refinery.

Amit Rustagi: So, then it is fair to assume that our capex will move in the trajectory of about INR3,000 crores -INR4000 crores annually now from here onwards?

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Vivek Tongaonkar: INR3,000 crores plus, yes, next year onwards.

Amit Rustagi:

Vivek Tongaonkar:

Amit Rustagi:

Vivek Tongaonkar: Yes, after '26 onwards. So then in that situation, how do we see the dividend payout? Because I think PSEs are supposed to pay 30% dividend annually. And I think this year, we have not paid around 30%. So how do we see dividends from here, basically?

Yes. So, normally, DIPAM guidelines specify that 30% of PAT or 5% of network should be the amount that is paid off. You would have seen if you have been following the company that earlier on we had a lot of capex and loans which were there, and we were not in a position to pay dividends.

When our cash position has improved, we have given out a 10% interim dividend. For this year also, now final dividend of 20% has been declared by the Board, subject to the shareholder's approval. And this is considering the various factors which could affect the profitability of the company and the cash flow of the company.

If there are any sudden spikes in crude prices or otherwise, which could affect the cash position of this company, we do not want that we should have a variable dividend — volatile dividend policy. So, in line with that, the company has considered 30% for the previous year. As cash positions improve and our loan positions also go down, we are looking at rewarding our shareholders on a regular basis, rather than giving it in one lump sum.

So, we would again take a view post our quarter H1 results, the company would again take a view on distribution of dividend or otherwise, considering all the factors at that time.

Okay. And how much debt repayment we can expect in the next two years? And what is the comfortable level of debt you are looking at that where you will think that, okay, now we are

happy with the current level of debts? What is that level, basically?

So as far as the debt levels are concerned, we are already below one. We were last year 1.70, we have gone down to below 1 debt equity ratio. We have repaid INR5,000-odd crores. So, we are quite comfortable as far as the debt repayments are coming. We do not have too much of debt balance. Our normal working capital loan requirement is about INR7,500 crores. So that amount of debt would continue on a short-term basis.

As far as the term loans are concerned, we have got NCDs -- four number of NCDs, which are for 4,477 crore. And they would be continued till about '30 and '32. The interest rates are also quite benign. So, we are not in a hurry to repay those loans as such. And for the year '24-'25, the loans repayable are INR1,174 crores, which we are sure that we would be able to do it through our own internal approvals.

There are no other major loans which require repayment as of now. And whatever loans that are there are like OADB loans, which are at very good interest rates. The interest rates have been between 6% to about 7%, 7.5%.

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So we can consider INR10,000 crores of debt level broadly, you are happy with?

Vivek Tongaonkar: As the network goes up, we would be in a position to have better debt levels also. And if need be, for any major capex, we are ready to be able to obtain a debt for those projects also.

Amit Rustagi: Okay, great sir. So, thanks for taking my question. I will hand over to the operator.

Vivek Tongaonkar: Thank you.

Moderator:

Neerav Jimudia: Thank you. The next question is from the line of Neerav Jimudia from Anvil Research. Please go ahead.

Yes, thanks for the opportunity, sir. Sir, you mentioned one of the products which we are under the feasibility stage which is isobutylbenzene. So, this predominantly I guess finds application in the production of ibuprofen if I'm not wrong.

So, if you can just share your views in terms of what could be the capacity of IBB which we are coming up with and if I'm not wrong I think the raw materials required here would be toluene and propylene. So, if you can just share your thought process about our venturing into this product, what is the demand here in India and what are the imports coming to India. So, if you can just share your views on that would be helpful?

Shyamprasad Kamath: The IBB project right now we are on a pilot scale and the feedstock as you rightly mentioned they are toluene and propylene which are available within the complex. So, that's the advantage that we gain and the technology is based on our patent.

Neerav Jimudia: Secondly, we are confident that whatever demand which is there in the country, this will be a kind of around 10,000 tons to 15,000 tons per year capacity which will be a kind of a mega scale plant for that product and we are confident with our pilot we will be able to establish the market for that to start with.

Because I think one of the largest chemical players is like Vinati Organics is into the production of IBB and the purity levels of which they've been producing for a long period of time. So, they have achieved the cost economics and the economies of scale. So, I just wanted to check with you in terms of our venturing into that because initially the capacity is what you mentioned 10,000 to 15,000 tons of the plant would be quite sufficient enough in order to cater to the domestic market. So, I was just wondering on that.

And secondly, on the OMPL, how are the utilization rates currently because there also, we produce paraxylene and benzene. And paraxylene cracks have been dilute not doing well. So, if you can just share your thought process on both the paraxylene as well as the benzene production for FY24 and how we are looking for FY25?

Shyamprasad Kamath: The complex the aromatic complex as you mentioned the paraxylene market is not very economical at this point of time. So, we have been operating the complex on the reformat mode

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Sanjay Varma: Mangalore Refinery and Petrochemicals Limited

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and we have consistently now operating at around 110% of the capacity utilization. During the last financial year we have produced around 800,000 tons of reformat and we have exported it. Benzene also we have been producing from the complex. We have produced about 130,000 tons of benzene last year and we are sustaining the complex on that mode and reformat is definitely

bringing more margins onto the table today compared to paraxylene.

Basically, our refinery complex we have some kind of a product swing capabilities. So, OMPL, erstwhile OMPL we have a flexibility to look into the economics and operate it either on PX or reformat mode. So, from past 2 years we are finding making Reformate more cost advantageous to us and similarly within the refinery also we have a lot of -- little bit of product swing capabilities between Diesel ATF, between other products. So, we are trying to look into the market conditions and wherever the cracks are good we are trying to maximize that.

Neerav Jimudia: And sir last question from my side is like apart from IBB are there any downstream products which we are planning because we have the upstream with us like benzene we have, PX we have, toluene propylene you rightly mentioned, would be available from our complex only. So, any other products apart from that which we are planning to add along with IBB for our downstream?

Shyamprasad Kamath: Yes Neerav as DF mentioned we are right now in the study mode which is on advanced stage for increasing our petchem intensity from around 10% to 12.5%. So, all these things are getting covered in that and probably by Q3 of this year we should be getting our necessary approvals to go ahead and get into the implementation mode. We are looking at various products based on the feedstocks that are available within the company.

Neerav Jimudia: Got it, sir. Thank you so much, sir, and wish you all the best.

Sanjay Varma: APR for this project is under compilation. So, the board approval may take by Q3. By that time all kind of these projects are being evaluated and which brings more economic value to the company those projects will be on-boarded in this expansion.

Neerav Jimudia:

Moderator:

Harsh Maru:

B.H.V. Prasad: Thank you so much sir and wish you all the best.

Thank you. The next question is from the line of Harsh Maru from Emkay Global. Please go ahead.

Thank you for the opportunity. My question basically pertains to the Bio-ATF part. So, two specific points over there. One is when do we expect Bio-ATF output to be available for sale? And the second question being what would be the premiums that we are looking at vis-a-vis hydrocarbon-based ATF?

Bio-ATF is expected to be ready by the year 2026-2027 when the SAF becomes mandatory for an international flights. 2026-2027, we would be ready with the project. What was the second question?

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Shyamprasad Kamath: Price, premium on ATF.

B.H.V. Prasad: Mangalore Refinery and Petrochemicals Limited

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The premium on SAF over ATF, presently it is very high when it comes in the international market. Presently, we are not taking any number at this moment, but we expect to get substantial premium for this particular product.

Harsh Maru: Okay. Thank you so much.

Moderator:

Rwibhu Aon: Thank you. Ladies and gentlemen, that was the last question for today. As there are no further questions from the participants I now hand the conference over to Mr. Rwibhu Aon from UBS Securities. Thank you and over to you for closing comments.

Thanks, moderator. We are extremely grateful to host this insightful audience call and I would like to extend our heartfelt gratitude to the company management for taking out their time for the call. And I would like to thank all the analysts, investors, and experts for dialing in. I would now like to hand the conference over to the management for their closing comments, if any.

Over to you, sir.

Shyamprasad Kamath: At the outset, thank you all for participating in this con call and it was a privilege for us also to have at least a con call and try to address your whatever clarification questions that you have had and hope we have met all the expected responses to all your clarifications. We would be looking forward to meet you probably in the near future also as and when we have an opportunity again. Thank you on behalf of the entire team here, Director Finance, Director Refinery, ED Projects, GGM Finance and the entire finance team present here. We would like to thank you all.

Moderator: Thank you. On behalf of UBS Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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(3M. 717 tff cb-ItLiNfrf etr- A SUBSIDIARY OF OIL AND NATURAL GAS CORPORATION LIMITED)

*.7tT.A. 9001, 14001 74 50001 AFTNIff -cft, AN ISO 9001, 14001 AND 50001 CERTIFIED COMPANY.

4ra*-q /CIN : L23209KA1988GO1008959 / f Website :www.mrpl.co.in

30/04/2025

The Assistant General Manager,

Listing Compliance, BSE Limited

Scrip Code: 500109,

ISIN: INE103A01014

Scrip Code (Debenture): 959162, 959250,

960362, 973692

Dear Sir/Madam, The Compliance & Listing Department

National Stock Exchange of India Limited

Symbol: MRPL, Series: EQ,

ISIN: INE103A01014

Debt Security: INE103A08019, INE103A08035,

INE103A08043, INE103A08050

Sub: Transcript of Conference Call held with Analysts and Investors to discuss the Audited Financial Results for the quarter and year ended March 31, 2025.

Ref: Our letter dated April 17, 2025 and April 28, 2025.

Pursuant to provisions of Regulation 30 of SERI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Conference Call on Audited Financial Results for the quarter and year ended March 31, 2025, held on April 28, 2025. Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the con-call.

The above information is available on the Company's website www.mrpl.co.in

We request you to take the above information on your records.

Thanking You

Yours faithfully,

For Mangalore Refinery and Petrochemicals Limited

Premachandra Rao G

Company Secretary

Encl.: Ala

ItAFc lql 1 : W4Ti etliragrcii,147T7- 575 030 (TM)

Regd. Office : Kuthethoor P.O. Via Katipalla, MANGALURU-575 030 (India).

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(A subsidiary of Oil and Natural Gas Corporation Limited)

Mangalore Refinery and Petrochemicals Limited

(A subsidiary of) 0,1 and Natural Gas Corporation brnEted) DOLAT CAPITAL

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"Mangalore Refinery and Petrochemicals Limited

Q4 FY '25 Earnings Conference Call"

April 28, 2025

MANAGEMENT : MR. M.S. KAMATH – MANAGING DIRECTOR –
MANGALORE REFINERY AND PETROCHEMICALS
LIMITED

M R. DEVENDRA KUMAR – DIRECTOR OF FINANCE AND
CHIEF FINANCIAL OFFICER – MANGALORE REFINERY
AND PETROCHEMICALS LIMITED

M R. NANDAKUMAR V – DIRECTOR OF REFINERY –

MANGALORE REFINERY AND PETROCHEMICALS
LIMITED
M R. BHV PRASAD – ED PROJECTS – MANGALORE
REFINERY AND PETROCHEMICALS LIMITED
M R. B. SUDARSHAN – ED REFINERY – MANGALORE
REFINERY AND PETROCHEMICALS LIMITED
M R. SUBHASCHANDRA PAI T – GGM FINANCE –
MANGALORE REFINERY AND PETROCHEMICALS
LIMITED

MODERATOR : MR. YOGESH PATIL – DOLAT CAPITAL MARKETS
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Mangalore Refinery and Petrochemicals Q4 FY '25 Earnings Conference Call. Hosted by Dolat Capital Markets Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Yogesh Patil from Dolat Capital Markets Private Limited. Thank you, and over to you, sir.

Yogesh Patil: Thank you, Alaric. A very good morning to everyone. I would like to extend a very warm welcome to all the participants and the top management of MRPL. We have with us Mr. M Shyamprasad Kamath, Managing Director; Mr. Devendra Kumar, Director of Finance and CFO; Mr. Nandakumar V, Director of Refinery; Mr. BHV Prasad, ED Projects; Mr. B. Sudarshan, ED Refinery; and Mr. Subhaschandra Pai T, GGM Finance.

I will now hand over the call to the Managing Director, Mr. Kamath sir. Over to you, sir.

M.S. Kamath: Thank you, Yogesh. A very good morning to all for joining Mangalore Refinery and Petrochemicals Limited Earnings Call to discuss our fourth quarter and full year results for FY '24, '25. The results release was uploaded to the exchanges and are also available on our website. Just to recapture the major highlights. For the fourth quarter 4, the gross refining margin was \$6.23 per barrel. Our PBT for quarter 4 was INR584 crores, which is 25% above our Q3 performance. For the financial year, our GRM was \$4.45 per barrel and PBT was INR113 crores. Our net debt to equity stands at \$0.99, and the total debt as on 31st March is INR13,227 crores. On the operational highlights, crude throughput hit 18 million tons per year, which is 120% of our nameplate capacity, which is a new record for us. The fuel and loss was at 10.09% for the fourth quarter 4. And with the ongoing grid infrastructure project, we are expecting that this will be further coming down to by around another 0.3% or 0.4% in the next 18 to 24 months. The distillate yield for quarter 4 was almost 83% and 82% for the full year, which reflects on our focus on value-added barrels and not just volumes. On the product flexibility, our aviation turbine fuel output has increased by 31% year-on-year basis. The reformat from the aromatic complex has improved by 50%, and benzene, another value-added product by 65% year-on-year basis.

During the year, we have processed 6 new crudes, including 3 heavy grades from Brazil and Venezuela and another 3 new grades from Russia. In terms of project milestones, we have commissioned our new bitumen train, a wet gas scrubber in the PFCC unit and our marketing terminal at Devangonhi, Bengaluru has already been commissioned and are already adding to the higher margins and reliability.

Our isobutyl benzene pilot plant is on track, and we are targeting to commission by August, September this year. Our focus is on operational derisking through our desalination plant,

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energy-saving retrofits, and reliability upgrades, with which we are targeting to operate more than 100% capacity utilization. Again, our target is around 17 million tons this year.

Marketing and downstream expansions. On the retail network, as on 31st March, we have 167 retail outlets, and we have set a target of 150 retail outlets addition in this year. We have added

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the 3 retail outlets, which are commissioned in Tamil Nadu already. So we are now present in 3 states. On direct sales, our diesel volumes have grown very sharply, and our polypropylene sales have hit an all-time high of 473,000 metric tons.

In short, our Q4 delivered sequential margin recovery and our medium-term strategy is aimed at margin uplift and feedstock agility. We remain confident of sustaining more than 100% utilization while derisking margin to crude through agile crude optimization.

With that overview, we are happy to take your questions. Thank you.

Moderator: Thank you, sir. We will now begin with the question and answer session. The first question comes from the line of Kishan Mundhra from DAM Capital.

Kishan Mundhra: So I have 2 questions. So firstly, if you could highlight if there was any inventory gain during the quarter in your GRM?

M.S. Kamath: Yes. During the quarter, there was an inventory gain of around \$0.42 per barrel.

Kishan Mundhra: Okay. And sir, as a follow-up to this, I mean, the benchmark Singapore GRMs were weaker actually, and your performance was relatively much better. So, were there any other factors at play apart from inventory gains, which led to you reporting a better GRM compared to the benchmark?

M.S. Kamath: As I mentioned that our focus has been on improving on value-added products. And we have tried to manage our value addition through maximization on an economic -- whichever products are bringing more economics like aviation turbine fuel or the benzene molecules, we have tried to maximize.

Kishan Mundhra: Okay. And sir, the second question is, can you give us a number of what the total throughput or sales that you are doing from your retail outlets currently, the exit run rate for the quarter?

M.S. Kamath: On an annual basis, I have the number. It is about 230 TKL we have done during the financial year '24, '25.

Kishan Mundhra: Okay. And any tentative target for FY '26?

M.S. Kamath: FY '25, '26, we are targeting -- our target is to cross 300 TKL.

Kishan Mundhra: Okay. Understood. And last question, if I may, sir. I -- is there any capex target that you have for FY '26, '27?

M.S. Kamath: You're targeting '26, '27 or '25, '26?

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Kishan Mundhra: FY '26 and FY '27, 2 years.

M.S. Kamath: FY'26, our target is going to be in the range of around INR1,000 crores. And FY'27 also, it could be in a similar range.

Moderator: The next question comes from the line of Sabli Hazarika from Emkay Global Financial.

Sabli Hazarika: So sir, firstly, just I was not able to fully get it. So you mentioned 0.4% reduction in fuel and loss, right, from infrastructure project at your opening remarks?

M.S. Kamath: Yes.

Sabli Hazarika: And what infra project is it?

M.S. Kamath: It's the power import infrastructure project.

Sabli Hazarika: So it will be like external power, which you will be replacing from...

M.S. Kamath: Yes.

Sabli Hazarika: And anything on the green hydrogen tender that you released a few years back?

M.S. Kamath: We -- it is under evaluation now. There are 2 projects which we are doing. The first one is on a build, own and operate basis. For that, what bids we have received and that is under evaluation.

The second one was trying to set up a smaller unit within the refinery of a 500 tons per year.

That is being retendered now. It is under retendering now.

Sabli Hazarika: 500 tons, right?

M.S. Kamath: Yes, 500 tons per year. That is a much smaller capacity within the refinery.

Sabli Hazarika: This is retendered. Okay. Fair enough. Secondly, on the marketing side, you mentioned 150 retail outlet addition this year?

M.S. Kamath: Yes.

Sabli Hazarika: So that will take it to, say, 330, 340, that will be the marketing network by the end of the

year.

M.S. Kamath: Yes, yes.

Sabli Hazarika: And that will be 3,000 TKL you mentioned. So basically, that...

M.S. Kamath: I said 300 TKL.

Sabli Hazarika: 300 thousand kiloliters, that's the number, right?

M.S. Kamath: Yes.

Sabli Hazarika: Okay. Fair enough. And secondly, in terms of your Russian crude and Russian discounts, what were the levels in Q4? And what is the run rate currently?

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M.S. Kamath: See, we are -- sourcing of our Russian crudes is more or in line with what the Indian industry is today sourcing. And the discounts are also in the similar ranges. Discounts have come down, but we are -- whatever we are getting is that far with what the industry is getting.

Sabli Hazarika: That's the case in Q4 and current year, sir, that's only the case, right?

M.S. Kamath: Yes, yes. You're right. Your understanding is right.

Sabli Hazarika: So industry number is something around 30% and \$1.5 to \$2. So that's what it is, right?

M.S. Kamath: Yes, it is something similar to the industry numbers only.

Sabli Hazarika: Okay, sir. Fair enough. And last question is, I mean, this quarter, you are like almost at a \$6 kind of core GRM. So in terms of optimization, are we at the -- are we in a normalized rate right now?

I mean, assuming that -- I know Singapore GRM is not the exact right benchmark. But if we compare with, say, \$14 diesel cracks and \$8, \$9 petrol cracks, then \$6 could be it or it could even have been better under certain circumstances.

M.S. Kamath: If the cracks what you mentioned are going to be there, then probably it is going to be slightly better than \$6.

Sabli Hazarika: Slightly better than \$6, right? Okay. Fair Enough.

Moderator: The next question comes from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: In terms of your paraxylene business, there is an increase in your JV, sir. So how is the paraxylene business? And what do you see as the outlook for the paraxylene business going forward?

M.S. Kamath: Ramesh, sorry to interrupt you. There was some cracking. We can -- there is some disturbance in the line, if you can please put your question again, please.

S. Ramesh: So just wanted to understand your thoughts on how the paraxylene business has performed and how do you rate your prospects for that...

M.S. Kamath: I'm sorry, Ramesh, there's a lot of distance and there is some cracking in the voice. You mentioned something about paraxylene, but cannot not able to get questions clearly.

Moderator: Could you get to a quieter location, Ramesh?

S. Ramesh: I'm speaking on the phone. Sorry about that. So I was just asking about your performance in the paraxylene business? And how do you see the outlook going forward?

M.S. Kamath: We are not -- we are still not making the paraxylene. We are operating and moving the product as reformat. During the last financial year, we increased our reformat production by almost 30%. We sold about 1.2 million tons of reformat. And we also improved our benzene production from the complex from 130 TMT to 200 TMT during the last financial year.

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S. Ramesh: Okay. So in benzene and the reformat, are you getting margins comparable to your refining margins? Or are you taking some sacrifices there?

M.S. Kamath: It is better -- there are better margins for that.

S. Ramesh: Now on the marketing side, what would be the share of EBITDA from the retail sales of petrol and diesel based on the numbers you have shared?

M.S. Kamath: Share of marketing in the EBITDA? See, right now, we are not reporting in a separate segments. We are report

ing it as a combined -- as a one entity. We are not splitting out as how much is from the marketing.

S. Ramesh: But the refining margin is just ex-refinery, right? It doesn't include the marketing margin, right?

M.S. Kamath: It's including. It is including that.

S. Ramesh: Okay. So, they are them your reported is including marketing, all right. So if you're looking at your outlook for '26, '27, based on the expansion in the retail outlets and assuming stable refining margins, what is the kind of delta one can expect in terms of your gross refining margin per barrel, including your marketing margins on integrated basis?

M.S. Kamath: For '25, '26 with the kind of current cracks which are going on and the crude prices which are

there we are expecting the GRMs to be in the range of around INR6 to INR6.5 which is what is currently -- which is what we saw in Q4. And from the retail businesses, we are -- on a long-term basis, we expect that the margin from the retail should be at around INR3 on petrol and INR3 on diesel.

Moderator: The next question comes from the line of Mr. Yogesh Patil from Dolat Capital Markets.

Yogesh Patil: Congratulations for the good set of GRM numbers sir, I have received a few questions from the investor side. Sir, we also wanted to know the MRPL product swing ability like ATF to diesel and the MS to reformat. Is that played any role on the higher GRM side during this quarter?

M.S. Kamath: Sorry, Yogesh, the last part, we could not -- I could not catch you fully, please. If you can repeat the question.

Yogesh Patil: Yes. So sir, we wanted to understand for the MRPL product swing ability like ATF to diesel and MS to reformat that played any role on the higher GRM during the quarter for FY '25?

M.S. Kamath: Between ATF and diesel, yes, there is a play. But if you really see in quarter 4, the ATF margins were -- ATF cracks were not that attractive compared to diesel in quarter 4. But in between MS and reformat, we -- our first objective is to meet the domestic MS demand, where we supply to our retail outlets, our oil marketing companies and whatever is the excess, we try to maximize from the aromatic complex.

Yogesh Patil: Sir, what was our distillate yield, and how it has improved over the last 2 to 3 years? And what would be the diesel and the MS yield?

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M.S. Kamath: Our distillate yields if you look at, say, '21, '22, we were at around 77.25%, and we have now come to around 81.9% during '24-'25. So there has been a steady increase in our distillate yields.

And basically, we have been trying to now maximize on the middle distillates, where our light distillates are kind of stabilizing at around 29% to 30%.

Yogesh Patil: Okay. In the next 2 years, sir, we see the HPCL Rajasthan Refinery and the IOCL additional refining capacities will come in the market, then how it will impact on the domestic price realization of the oil products? And considering the one of the lowest net refining capacity, I mean, going to be added in 2025, how the cracks will pan out in FY '26?

M.S. Kamath: I mean these are the 2 separate questions. Mostly first one is on the domestic side. And the second one is on the side of global net refining capacity addition in 2025, and how the cracks do you believe will pan out in FY '26?

On the domestic front, the commissioning of HRRL and the IOCL Refinery, Yes, definitely, there is going to be there is going to be product supplies sources will increase. However, the recent projections or the reports which have come out from PPAC, that indicates a robust growth in terms of both MS and diesel, where they have indicated an MS growth in the range of around 6.5% and diesel to grow around 3%.

So with that kind of growth numbers happening, we are ve

ry confident that we'll be able to

improve our domestic sales. That is on the domestic front. On the international market, the cracks as we speak, are around 10% to 12% for diesel and ATS and MS in the last couple of -- in the last week or so has started strengthening.

So our outlook is that our understanding is that the cracks on the MS and distillate yield is going to be in that range. And with the crude prices, with the oversupply of the crude, we don't expect the crude prices to further increase. So with a crack of around \$10 to \$12, I think we will be reasonably in a better position in the next financial year.

Moderator: The next question comes from the line of Kishan Mundhra from DAM Capital.

Kishan Mundhra: So sir, this INR3 per liter kind of a margin that you are targeting in your -- from a retail outlet, sir, if you could clarify if this is gross margin? Or is it net margin net of your freight and other marketing expenses?

M.S. Kamath: It's a net of everything.

Kishan Mundhra: Okay, net of everything. And, sir, what drives this assumption of this INR3 per litre? I mean, is there a formula to drive this or is there a cost build up kind of a thing? What is the logic of this INR3 per litre? I mean, cannot it be INR4 or INR2 per litre?

M.S. Kamath: As we speak, it is much higher. That is why I said on a long term basis, we expect the prices to be adjusted out and this is the kind of margins which have been there historically also and we expect the same thing to continue.

Kishan Mundhra: Okay. Any IRR assumption that goes behind this INR3 per litre kind of a margin?

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Management: Each retail outlet when we select, each one of them will undergo economic analysis and if there is IRR, then only we move forward from each of the retail outlet.

M.S. Kamath: We carry out a detailed market study, the potential sales that is possible, and then IRR economic evaluation is carried out before we decide our retail outlet.

Moderator: The next question comes from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: So you mentioned healthy production in polypropylene. So, given the global pressure on the margins, have you included this margin in your gross margin? How much would be the delta in the GRM from the polypropylene business?

M.S. Kamath: See, as I mentioned, we are not separately reporting on a segment-wise basis, and currently, the gross margin includes everything. So we have not separated out any of the specific or petrochemicals or any marketing segments in that.

S. Ramesh: In terms of the future outlook for your polypropylene business, what is the growth you expect in terms of your sales volume in polypropylene given that there's a lot of competition? So, how do you see that in the next 1, 2 years?

M.S. Kamath: Competition is expected because there are newer units which are expected to get commissioned. But the kind of presence and the brand image that we have established in the market, we are not foreseeing any reduction in the sales forcing us to look at an export market. Our brand has been very well accepted in the markets where we are operating.

S. Ramesh: Okay. So, in terms of the capex numbers you shared, can you give us an idea about where the capex is going?

M.S. Kamath: It is almost 50% going in for the refinery capex and 50% for the new or marketing kind of activities.

S. Ramesh: So, going back to the previous question on the refinery capacity additions in Asia and globally, what is your sense in terms of capacity closures and the net refinery capacity addition in Asia and the global capacity, say, in the next 1 year?

M.S. Kamath: Basically, as far as India is concerned, the capacity growth is expected from present to 250 -- or 260 to 450 by 2045. So there i

s going to be an increase in capacity based on the demand assessment because at present, India's primary energy, the oil contribution is much, much lower than the international. I think we are just about one-third of the global average, let alone countries like China or US. So we have some margin.

So till then, expansion won't be a challenge, and demand will be there. As far as international, the global scenario is concerned, there are refineries getting closed down in Europe and Australia. There are some stand-alone refineries. So globally, also, there could be a kind of sustenance in the cracks for at least next medium term. That's the present outlook we are thinking.

Moderator: The next question comes from the line of Sabli Hazarika from Emkay Global Financial Services.

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Sabli Hazarika: So 2 questions. Firstly, so your exports would be something like 30%, 35% as of now, right? That's the normalized export, right? It was higher in Q4, but on an average, that should be the run rate, right?

M.S. Kamath: Yes.

Sabli Hazarika: And which are the products and to which countries are you exporting?

M.S. Kamath: See, we don't typically have a B2B agreement with any specific country. Our products are typically on a spot cargo. And in the recent past, we also have been entering into a term with the traders. So the traders ultimately will be moving the cargoes to the destination where they have back-to-back arrangements.

Sabli Hazarika: Okay. Got it. And which are the items which are like most exported?

M.S. Kamath: It is basically diesel, then we have the reformat from the aromatic complex and ATF, benzene.

Sabli Hazarika: Okay, sir. Fair enough. And is there any expansion plans very preliminary stage, anything which you are thinking about or any kind of like petrochemical plans where you want to raise the intensity, something of that sort?

M.S. Kamath: Yes. We are planning for some value addition to our couple of streams which are there in the refinery. The feasibility studies are going on for that.

Sabli Hazarika: This will be a major capex or should be minor?

M.S. Kamath: It can -- see it is basically some C2, C3 molecules -- which we have, C2, C3, C4 molecules. So

it is not -- we can look at it in smaller capex and take it out. So the -- it is not going to be a capex of a mega capex. It's a very medium or a very smaller range capex, spread probably over a period of 2, 2.5 years to 3 years.

Sabli Hazarika: So this is a part of the INR1,000 crores only that you have reported, right?

M.S. Kamath: As of now, yes.

Moderator: The next question comes from the line of Soumaya from Avendus Spark Institutional Equities.

Soumaya: This is Soumaya. Thanks for the opportunity, sir. So first question, within this INR1,000 crores of capex, what would be the maintenance capex on the refinery side?

M.S. Kamath: So it is almost 50%.

Soumaya: So INR500 crores on marketing, INR500 crores on refining and the refining entire is almost...

M.S. Kamath: INR500 crores, it is not entire INR500 crores is marketing. Marketing is one part of it. And the balance, we are looking for some ongoing projects which are there like isobutyl benzene, power import projects. So they're all part of that.

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Soumaya: Can you get a rough split, sir? Just want to understand on the refinery side, what would be a maintenance capex within this number?

M.S. Kamath: See, we have a shutdown capex. We have some catalyst replacements also coming. So it is -- these are the 2 main components of that, turnaround capex and the catalyst

replacements.

Soumaya: Okay. Got it. Sir, this \$6 of GRM, any broad idea would you be able to give like how much would petrochemicals would be contributing within this? And how much is marketing and how much is the core refining part?

M.S. Kamath: At this point of time, see, as I mentioned to you, we have not done a segmental analysis or while arriving at our GRMs. So I will not be having that information right now.

Soumaya: Okay, sir. And also directionally between Q3 to Q4, Petchem would have been slightly supportive, directly, you'll be able to see that?

M.S. Kamath: It was -- we did not see any difference between Q3 and Q4 in terms of Petchem marketing realizations.

Soumaya: Understood, sir. Sir, also on your crude sourcing part, can you give a color on -- you did mention about Russia. But in general, the crude sourcing basket, how much from Middle East and very, very broad numbers, if you can just give?

M.S. Kamath: We can say almost one-third came from the Middle East and Domestic was also in the range of around -- we can say almost one-third.

Moderator: Does that answer your question, Soumaya. We'll move on to the next participant as the participant has disconnected the line.

The next question comes from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: So there was this discussion about MRPL being merged with HPCL. So is there any progress or time line on that? And what is the thought process on that?

M.S. Kamath: Ramesh, thank you for that question. See, we as MRPL, first of all, we are not aware of any such developments. And even if there are any such developments, it is the 2 promoters who have to ultimately take the call.

Moderator: Does that answer your question?

S. Ramesh: Yes, yes. Thank you very much.

Moderator: The next question comes from the line of Yogesh Patil from Dolat Capital Markets.

Yogesh Patil: Sir, capital expenditure plan of INR1,000 crores per annum for the next 2 years, then what would be the peak debt levels or debt-to-equity ratios one can expect from these capital expenditures?

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M.S. Kamath: We are expecting the debt-to-equity to be maintained at around the current levels. We are at around close to 1. So we will be -- we are -- our current -- the things is called projections are at the same levels only.

Yogesh Patil: Okay. And sir, as per our understanding, MRPL is processing Barmer crude. Can you share the percentage of Barmer crude processed in FY '25 and typical discounts on the Barmer crude relative to the Indian crude baskets you are receiving?

And sir, lastly, on the -- what is the alternate plan once the Barmer crude is shifted to HPCL and

Rajasthan Refinery?

M.S. Kamath: The Barmer crude -- last year, the Barmer crude volumes have come down because the output from Barmer itself has come down. Our number last year was, if I remember correctly, was -- it was almost around 3% to 4% of our total basket. And the discounts were not -- were in something in similar line, which they have been offering to the other players also.

Yogesh Patil: Okay. Sir, separately, I wanted to understand the loss of tax offsets in case the MRPL undergoes another merger. Would you be knowing the tax provisions that drives this?

Management: Sir, this is [Anil 0:35:23] this side. So in case any further development on any merger and acquisition further, we have till financial year '27, we need to have that carry forward of losses still in place. Then after 5 years of completion of the older merger, then only we can go forward.

Yogesh Patil: Okay. And sir, lastly, just wanted to -- on your placement of oil products on the domestic side and the export side, what kind of advantage of selling the product -- oil products into the domestic market compared t

o the export market in terms of dollar per barrel, if you could give us a little bit understanding on the realization side?

Management: Yes, Avin, this side. So basically, selling domestic is always better for us in general. Export market is targeted only when we have exhausted our domestic market fully for agri.

Moderator: The next question comes from the line of Yogesh Patil from Dolat Capital Markets.

Yogesh Patil: Considering the gas consumption at Mangalore refineries and one grid power upgradation is also going on, JT upgradation is also going on. Can you throw some light on the kind of a gas consumption, one thing? Secondly, the grid power upgradation and thirdly, on the JT upgradation?

M.S. Kamath: Last year, we have a gas consumption of around -- close to around 0.55 MMSCMD, which we are targeting to take it to around 0.65 to 0.7 this year. And the grid infrastructure project, the target date for completion is by December. And we are hopeful that we will be able to complete and start drawing the power from there.

The JT infrastructure project, the engineering activities have been completed. The long lead item orders have been placed and the tenders for the execution are in the final stages of awards are just ordered. It has just been ordered.

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Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

Management: So thank you, everyone, and for this interaction. And I hope we could clarify the questions asked and about the last year performance as well as some of the outlook for the coming year. So thank you once again for the coordinator and the participants.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Dolat Capital Market Private Limited, that concludes this conference. You may now disconnect your lines.

Call: Jul 2025

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MANGALORE REFINERY AND PETROCHEMICALS LIMITED

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(3-TrzE 11,15 c trl h Witt. ef TIPTT i-711, A SUBSIDIARY OF OIL AND NATURAL GAS CORPORATION LIMITED)

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Tit3iTit7/CIN : L23209KA1988G01008959 Website :www.mrpl.co.in

24/07/2025

The Assistant General Manager,

Listing Compliance, BSE Limited

Scrip Code: 500109,

ISIN: INE103A01014

Scrip Code (Debenture): 959162, 959250,

960362, 973692 The Compliance & Listing Department

National Stock Exchange of India Limited

Symbol: MRPL, Series: EQ,

ISIN: INE103A01014

Debt Security: INE103A08019, 1NE103A08035,

INE103A08043, INE103A08050

Dear Sir/Madam,

Subject: Transcript of Conference Call held with Analysts and Investors to discuss the Un-Audited Financial Results for the quarter ended June 30, 2025.

Reference: Our intimation dated July 16, 2025

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Conference Call on Un-Audited Financial Results for the quarter ended June 30, 2025, held on July 21, 2025.

Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the con-call.

The above information is available on the Company's website www.mrpl.co.in.

This is for your information and record.

Thank you.

Yours faithfully,

For Mangalore Refinery and Petrochemicals Limited

Premachandra Rao G

Company Secretary

Encl: A/a

: Tbizfr ITT chl24crif,"1:i77- 575 030 CRT0.) Regd. Office : Kuthethoor P.O. Via Katipalla, MANGALURU-575 030 (India). !!

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S .mlin. MRPL Mangalore Refinery and Petrochemicals Limited

(A subsidiary of Oil and Natural Gas Corporation Limited)

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Management:

Mr. M.Shyamprasad Kamath –Managing Director – Mangalore Refinery & Petrochemicals Limited

Mr. Devendra Kumar – Director Finance & Chief Financial Officer –Mangalore Refinery & Petrochemicals Limited

Mr. Nandakumar V – Director Refinery – Mangalore Refinery & Petrochemicals Limited

Mr. BHV Prasad – ED Projects –Mangalore Refinery & Petrochemicals Limited

Mr. Deepak Prabhakar – ED Marketing –Mangalore Refinery & Petrochemicals Limited

Mr. Subhaschandra Pai T – GGM Finance – Mangalore Refinery & Petrochemicals Limited

Mr. Avin Gupta – Senior Manager Finance – Mangalore Refinery & Petrochemicals Limited

Moderator:

Mr. Swarnendu Bhushan – Prabhudas Lilladher Private Limited

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■ Moderator:

■ Ladies and gentlemen, good day and welcome to Mangalore Refinery and Petrochemicals Limited Q1 FY26 Results Call hosted by Prabhudas Lilladher Pvt. Ltd. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Swarnendu Bhushan. Thank you and over to you.

■ Mr. Swarnendu Bhushan - Co-Head of Research, Institutional Research at Prabhudas Lilladher Private Limited

■ Thanks, Bhavya. On behalf of PL Capital, we would like to welcome all the participants to Q1 conference call of MRPL. From the management, we have:

■ Managing Director - Mr. M. Shyamprasad Kamath

■ Director Finance & CFO - Mr. Devendra Kumar

■ Director Refinery - Mr. Nandakumar.

■ ED Projects - Mr. B.H.V. Prasad

■ ED Marketing - Mr. Deepak Prabhakar

■ Group General Manager Finance - Mr. Subhashchandra Pai.

■ I would now like to invite the management to share their opening remarks on the results, post which we will follow the session with Q&A. Over to you, sir.

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Good afternoon, everyone and thank you for joining us on this 1st Quarter Earnings Call. I am M. Shyamprasad Kamath, Managing Director and CEO of MRPL. Along with my leadership team, I will walk you through our Q1 performance, the operating environment we faced and our near-term priorities.

■ First on the operating highlights. Throughput, we processed 3.52 MMT (million metric tonnes) of crude and other feedstocks. Although the volumes were lower year-on-year, primarily because of the plant turnaround, on April alone, company set a record processing of 1.51 MMT, underscoring the inherent capacity of the refinery once all units are online.

■ On fuel and loss and product yield, the distillate yield for the quarter was 80.97%, in line with what we have achieved in our previous quarters. The company posted a fuel and loss of 11.41%. However, our adjusted F&L due to the turnaround, the number would be somewhere around 10.1% for the quarter.

■ Financial performance, revenue from operations came in at Rs. 20,983 crores, reflecting both the lower throughput and almost a 20% drop in the benchmark crude prices compared to last year Q1, and an 8% drop sequentially.

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■ Gross refining margin averaged at \$3.88 per barrel, down from \$4.7 per barrel in Q1 previous year, and \$6.23 per barrel in Q4 2024-25.

■ Our EBITDA was at Rs. 218 crores and a PAT loss of Rs. 272 crores. Roughly that loss is attributable to the plant shutdown and the inventory loss. Both are transient effects.

■ On the market context, global refining margins were better during the quarter due to supply disruptions and normal demand growth. Refinery closures in 2025-26 are expected to support the cracks going forward. However, crude price shock

s impacted the bottom line in the last quarter.

■ On the domestic front, the diesel demand grew almost at an average of 2% year-on-year while the gasoline remained resilient at around 7% growth. Both these trends support our marketing focus in the southern and western part of the country.

■ All our major units are back in service now and we expect the throughput in Q2 to be above 4.3 MMT, with GRMs already showing stronger in July. If the crude prices do not fluctuate too much, we should be able to post good numbers going ahead in the rest of the remaining quarters.

■ In short, Q1 was an operationally challenging but strategically a necessary quarter. The refinery is now positioned to run at historically high levels.

■ Now I hand over the call to our Director Finance & CFO to talk about the financial details.

■ Mr. Devendra Kumar - CFO, MRPL:

■ Good afternoon, everyone. This is Devendra Kumar. I will let you know the key numbers and reasons behind them.

■ The top line contracted largely because of:

1) About 0.8 MMT reduction in throughput versus the previous year Q1 due to planned phase-II shutdown.

2) About 20% year-on-year in fall in benchmark crude prices. Lower volumes, especially at the time of good cracks in June, resulted in lower EBITDA, while depreciation at Rs.363 crores and finance costs at Rs.255 crores also rose slightly during the quarter. Roughly, the losses are

attributable to shutdown turnaround and inventory valuation due to the impact of the crude price slide. The refinery returned to full service in late June. July cracks are already above the Q1 average.

■ There are some points which I would like to highlight.

■ Operating expenses came in at Rs.601 crores, which is slightly lower than the previous quarter due to shutdown effect. The fuel and loss impact for the quarter is transient, as MD sir has already explained in his talk.

■ Finance costs at Rs.257 crores rose 6% quarter-on-quarter due to short-term debt which was raised to further turnaround and related activities.

■ Gross debt stands at Rs.13,608 crores. Net worth is Rs.12,657 crores, giving a debt-equity of 1.08x. The ratio is expected to improve as earnings rebound in the coming quarter.

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■ Q1 CapEx was Rs.537 crores, primarily due to the shutdown expense. Total annual CapEx is expected to be around Rs.1,000 crores, including the shutdown expenses which have already been incurred.

■ With all units back, we are targeting GRMs in the high single digit range for Q2, supported by stronger middle distillate cracks and internal fuel loss reduction initiatives.

■ There are specific tasks assigned to the team to bring up cost leadership in the organization. We are also very selective on the CapEx spending, and the objective is to reduce the debt as far as possible.

■ Despite a deliberately compressed quarter, our financial foundation remains resilient and the refinery is now positioned to deliver materially higher throughput. We remain committed to prudent capital allocation, disciplined cost management and value-accretive growth.

■ Thank you for your time. We are happy to take your questions now.

■ Question & Answer Session:

■ Moderator:

■ Thank you very much. We will now begin the Question & Answer session. Anyone who wishes to ask a question, may press * and then 1 on your touchtone phone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

■ The first question is from the line of Ramesh from Nirmal Bang Equities Pvt. Ltd. Please go ahead.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ Thank you very much for the call. So, my first question is, how much was the inventory loss in dollars per barrel in the 1st Quarter? And if you didn't have the shutdown, what would have been the GRM in the 1

st Quarter?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Yeah, yeah. The GRM, if the shutdown was not there, we would have been somewhere around \$8. So, the impact of the inventory loss is around \$2. And with no shutdown, it would have been another \$2. So, overall, it could have been closer to around \$8, that would have been our GRM.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ Okay. So, if you're looking at the current cracks, since you mentioned high single digits, would it be similar to the \$8, higher or lower? What is the kind of current run rate in terms of the crack spreads and GRM?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ It could be slightly higher than \$8 per barrel.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

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■ If you look at your paraxylene plant, what is the kind of operating rate you had? How much of sales you had in paraxylene? And how much of the profit or loss from paraxylene is included in the 1st Quarter results?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ See, we are operating the complex on a reformat mode, and we continue to operate the complex on reformat mode only. The margins from the PX complex, while we have operated on the reformat mode, was around almost half a dollar per barrel.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ So, out of the reported margin, about 50 cents is from the reformat to paraxylene. Okay, fine. So, how do you see the paraxylene prospect? Because right now, paraxylene, PTA, polyester chain is under pressure. So, do you see any plant closures? Like in refining, do you see any signs of recovery? Or we should count on just the refining business to do well, say, in the next...?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ In the short term, the PX outlook appears to be not coming up, as you mentioned. And we do

look at the kind of economics on which mode of operation and then take a call.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ Understood. Sir, one final thought. In terms of marketing, how many retail outlets you have?

And what is the kind of retail margin that you have included in the 1st Quarter results? And

obviously, there has been some reduction in that. So, what is the kind of number of retail

stations you plan to add and the growth in retail volumes you can expect in FY26 and FY27?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ As of date, we have about 170 retail outlets, which we have commissioned. And during the

year, we plan to add probably another 100 retail outlets. And our target is to go closer to 300.

But yes, our target immediate short term is to achieve another 100 in this financial year. On the

margin front from the retail, we brought in about 60 crores during the quarter.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ 60 crores. And all would have been the retail sales volume, if I can get that information?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ About 68,000 KL.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ 68,000 KL. This is for the quarter, right?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Yes.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

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■ And how do you see that increase by the end of the year? And what can you do, say, in FY27 once these 270 retail outlets are in place?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ We did about 230 TKL last financial year. Our target is to reach at least to go to around 300 to 325 TKL this year.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ Okay. And how much would that increase in FY27 based on the 270 outlets by the end of the year?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Can you come back on the question, please?

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ Based on the 300,000 to 325,000 litres you do by the end of FY26, what is the kind of growth you can expect in the retail sales volume in FY27 once you have the 270 retail outlets by the end of FY26?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ So we target to a

chieve about 500 TKL.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ 500 TKL. Okay, sir. Thank you very much. I will come back in the queue.

■ Moderator:

■ Thank you. Before we take the next question, we would like to remind participants to press star and 1 to ask questions.

■ The next question is from the line of Sabri Hazarika from Emkay Global Financial Services.

Please go ahead.

■ Mr. Sabri Hazarika - Emkay Global Financial Services:

■ Yeah. So I have a few questions. Firstly, you mentioned the net debt number as how much? 12,600 crore?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Yeah, yeah. Correct.

■ Mr. Sabri Hazarika - Emkay Global Financial Services:

■ So it was 12,800 crore, which has come down to 12,600 crore QoQ, right?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Yeah.

■ Mr. Sabri Hazarika - Emkay Global Financial Services:

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■ Okay. Second is, how is the polypropylene plant doing currently? What kind of like deltas are you realizing? Is it generating any profit or still it is under pressure, given that broader margins are not good?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ The polypropylene plant is at 100% capacity. Even during the Q1 also, we could manage to run that plant because the feeding unit was operational and then we were managing it. On the margin front, since the PPE is produced through, if I can say through the crude directly and it is not from the naphtha, the margins are better compared to looking from an ethylene cracker.

■ Mr. Sabri Hazarika - Emkay Global Financial Services:

■ So it is like crude, propylene, polypropylene, right? That is the chain, right?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:
 ■ Yes.
 ■ Mr. Sabri Hazarika - Emkay Global Financial Services:
 ■ And propylene versus polypropylene, the margins are okay or that is not that great?
 ■ Mr. M. Shyamprasad Kamath - MD, MRPL:
 ■ That is okay. That is okay.
 ■ Mr. Sabri Hazarika - Emkay Global Financial Services:
 ■ Okay. So standalone, assuming that your refinery producing, supplying propylene is a third party, then how is the plant doing?
 ■ Mr. M. Shyamprasad Kamath - MD, MRPL:
 ■ You mean to say somebody buying propylene and then producing polypropylene?
 ■ Mr. Sabri Hazarika - Emkay Global Financial Services:
 ■ Yes. I mean if I separate this plant into a different unit and I assume that it is buying from your refinery the propylene, then what is the economics?
 ■ Mr. M. Shyamprasad Kamath - MD, MRPL:
 ■ That could be a... you know, we do not look at that kind of bifurcation, because ultimately when we look at overall economics, we look at all these things put together.
 ■ Mr. Sabri Hazarika - Emkay Global Financial Services:
 ■ Okay. Okay. Got it. And last question is on this OMPL, I mean your aromatic complex. So this GAIL PTA plant should be ready I think in the next one year. So right now, still the PX economics...if that plant comes, still the PX economics are not great to produce PX and continue with reformate, or there is a case for like shifting the mode to PX then if that GMPL plant comes?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

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■ It is again subject to economics. Yes. If we are able to strike a deal with GMPL, definitely we would like to give it to the next door. But it is all subject to economics and what is the kind of... if we are able to strike the deal between the two companies.
 ■ Mr. Sabri Hazarika - Emkay Global Financial Services:
 ■ Okay. So right now it will continue on that reformate mode, and you are saying you are getting something like \$0.5 per barrel from there, right?
 ■ Mr. M. Shyamprasad Kamath - MD, MRPL:
 ■ Yes.
 ■ Mr. Sabri Hazarika - Emkay Global Financial Services:
 ■ Okay. Okay. Thank you so much.
 ■ Mr. Devendra Kumar - CFO, MRPL:
 ■ If I heard you correctly, the debt stands at 13,608.
 ■ Mr. Sabri Hazarika - Emkay Global Financial Services:
 ■ Yes, that is gross. Net debt would be? Same. Net debt is also same, 13,608?
 ■ Mr. M. S

hyamprasad Kamath - MD, MRPL:

■ Yes.
 ■ Mr. Sabri Hazarika - Emkay Global Financial Services:
 ■ Okay. Thanks.
 ■ Moderator:
 ■ Thank you. Participants to ask a question, you may press * and 1.
 ■ The next question is from the line of Pratyush Kamal from InCred Equities. Please go ahead.
 ■ Mr. Pratyush Kamal - InCred Equities:
 ■ Sir, I just wanted to understand this mathematics of \$0.5 per barrel whenever you are getting this benefit through the petrochemical integration. So what is this about? And second was regarding this reformate mode. So when you are saying that you are running this on a reformate mode, what does it actually mean?
 ■ Mr. M. Shyamprasad Kamath - MD, MRPL:
 ■ See the complex, we can operate... we have shut down the paraxylene part of the complex. And what we do is, we operate it to a phase where we make this reformate, which is the base blend stock for either making paraxylene or it can go going for an MS blender. So we are making... we are operating only part of the complex where we are selling this reformate, and we are extracting some benzene also and adding value to it.
 ■ Mr. Pratyush Kamal - InCred Equities:

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■ And how is this reformate made? Is it 18.37 (inaudible) .
 ■ Mr. Nandakumar Pillai - Director-Refinery, MRPL:
 ■ I will explain. I am Nandakumar - Director Refinery. This aromatic... reformate is actually the intermediate formed first. Then it is further converted to produce paraxylene. So what we are presently doing is, we produce the reformate, that is the basic first converter unit, and then we pack it as a blend stock and sell it. If PX margins were good, hypothetically, then we would

have processed further the same reformat and made PX; which is presently that market is not that great. You are asking where the reformat is made. So reformat is actually the intermediate produced in this complex.

■ Mr. Pratyush Kamal - InCred Equities:

■ Understood. So this reformat is ultimately made from naphtha or through the raw crude. So how do you actually make the reformat?

■ Mr. Nandakumar Pillai - Director-Refinery, MRPL:

■ It is made from naphtha actually.

■ Mr. Pratyush Kamal - InCred Equities:

■ Understood. So what are the different products other than PX to which you can use this reformat? You can use first in the PX production, other in this MS production or MS blending. So is there anything else also which you can do through this reformat, and you can ultimately get the benefit whenever the margins are high in that product?

■ Mr. Nandakumar Pillai - Director-Refinery, MRPL:

■ Presently, yes, your understanding is right. Basically, it can be made for MS blending. PX and other components like basically benzene, which is a by-product of PX. So, these are the main...

■ Mr. Pratyush Kamal - InCred Equities:

■ Understood.

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ We are also producing... we have also started some amount of toluene extraction from the complex and that also we are selling as a product now.

■ Mr. Nandakumar Pillai - Director-Refinery, MRPL:

■ We just started last year.

■ Mr. Pratyush Kamal - InCred Equities:

■ Understood, sir. And what is this \$0.5 per barrel addition through the petrochemical all about?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ So this is that margin which we have estimated coming from the paraxylene complex.

■ Mr. Pratyush Kamal - InCred Equities:

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■ Understood. No issues. Thanks a lot, sir. That's it.

■ Moderator:

■ Thank you. The next question is from the line of Kishan Mundhra from DAM Capital. Please go ahead.

■ Mr. Kishan Mundhra – DAM Capital:

■ Hi, sir. Thanks for taking my questions. Two set of questions. So firstly, data keeping one, sir. Could you share what is your current, or what was your Russian crude blending during the quarter, and what was the discount that you realized on this crude?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ See, the kind of Russian barrels that we are

currently getting is something similar to an average, whatever India as a country as we are importing; there is not much difference in that. And the discounts also are in the same range what the other Indian counterparts are getting. Even though the discounts have come down slightly, but yes, more or less, we are in the same line as what the other Indian refineries are getting.

■ Mr. Kishan Mundhra – DAM Capital:

■ Which would be like \$2.5 to \$3 range delivered for India? Would that be a correct assumption?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ You can say plus minus something there.

■ Mr. Kishan Mundhra – DAM Capital:

■ Okay, understood. And sir, the second question. I know it is early days, but still if you could share your assessment of the impact of the recent sanctions on the Russian crude that has been imposed by EU. So, what is your assessment as far as your financials are concerned, your business is concerned and the broader market in general?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ We are still trying to assess because we need to look at the fine prints. Yes, as of now, one of the country's refineries names has come up, but we are still assessing it. It is not just to what extent the price caps are there, how the other things are going to be, how there is an impact on the fleet. We are looking at it still and trying to assess that thing now. But as we speak, we have not seen any challenges getting the crude at least for the month, balance month of July part, whatever is going to come.

■ Mr. Kishan Mundhra – DAM Capital:

■ Okay, understood, sir. Thank you.

■ Moderator:

■ Thank you. A reminder to the participants, you may press * and 1 to ask a question.

■ The next question is from the line of Naresh Kataria from Money Curve Analytics. Please go

ahead.

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■ Mr. Naresh Kataria – Money Curve Analytics:

■ Hi, sir. Just one question. What is the share of diesel in your product state? And I believe diesel cracks are higher. Any thoughts if these higher cracks are sustainable due to anything going on globally?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ See, our middle distillates, when we say middle distillate, it is ATF plus diesel, we are at around almost 50%. And again, if I have to further split, if I have the diesel, it is somewhere anyway between 38 to 40%. So, we have this flexibility of trying to swing some amount between the two products. I can go up to say, stretch it up to around 42% percent as middle distillates... as diesel, sorry.

■ Mr. Naresh Kataria – Money Curve Analytics:

■ Sure. So, my second question on the sustainability of higher diesel cracks. Are diesel cracks higher currently? And what do you think would sustain? I have seen analysts predicting higher cracks based on futures traded on US, that diesel is going to sustain higher for some time. Any thoughts and what is the situation?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Currently, the diesel cracks are high compared to what it was. Even in Q1 also, they are comparatively higher. It all depends on how the recent sanctions are going to turn around. That is why I said we need to really look at those fine prints. And going forward, currently if really those sanctions come in, we expect that the diesel cracks are going to be further higher. And it all further depends on how US is also going to look at this particular aspect. So, it is going to be... we have to be watchful on this particular aspect.

■ Mr. Naresh Kataria – Money Curve Analytics:

■ Understood. Sir, last question is, I have seen over the years you have reduced your fuel and loss. Though it is higher compared to other refineries, but the trend is down. So, if the fuel and loss drops by 1%, does it mean you get 1% extra output for the same barrel of crude? Is that a fair understanding?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Yes, you are right.

■ Mr. Naresh Kataria – Money Curve Analytics:

■ And that adds to margin

, right? Because we have paid for the Brent, we have paid for the emissions, but you are getting... you are losing and wasting less.

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ It adds to your bottom line.

■ Mr. Naresh Kataria – Money Curve Analytics:

■ Perfect. Thank you so much.

■ Moderator:

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■ Thank you. The next question is from the line of Ramesh from Nirmal Bang Equities Pvt. Ltd. Please go ahead.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ Thank you for the follow-up. So, you mentioned at the beginning that you are expecting refinery closures. Is there some number you can share in terms of how much of the Asian and global capacities are expected to close this year? And what is the trend you expect between FY26-27 in terms of refinery closures?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ While we don't expect any closures in the Asian market, there is a closure that has been declared - one in the UK and one in the California region.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ And what is the kind of capacity in barrels per day or per annum that is being closed down?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Well, I am sorry, I am not having the numbers right now. But we can share it to you subsequently.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ That's okay. So, just dwelling on this refining margin, you have about 10% which is in the bottom product, right? And if you see, VLSFO margins are about \$10 26.46 (inaudible). The interesting thing is compared to the long-term negative margins of \$15, HSFO discount is now about minus 3, minus 5. So, in the bottom of the barrel, how do you see your own ability to increase the VLSFO component? These are going to be an incremental upside to your GRMs?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ First of all, the bottom 7% or 8%... it is not 10% now, we are at around 7-8% on the bottoms. This entire 7-8% is not coming from VLSFO. It also includes whatever coke and sulphur also that is produced. And currently our strategy is not to make VLSFO, rather than make more

distillates.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ Okay. And lastly, if I can just ask you on the polypropylene business, can you share the dollars per barrel that is included in your margins from the polypropylene sales from your FCC unit?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ You are asking the sales value of EPP? Margins, I don't think we have separately... no separate margins we have done for the polypropylene.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ So going forward, how do you see the economics of this polypropylene business from the FCC cracker? Because globally, the polypropylene chain is bleeding, whether it is PX, PP or the traditional crackers. So, is there any rationale in running this unit? Or do you expect the

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recovery in the overall polypropylene spreads and margins going forward in terms of the economics? How do you see that?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ What we understand is the polypropylene market is pretty stable. It is the polyethylenes which are bleeding.

■ Mr. Ramesh – Nirmal Bang Equities Pvt. Ltd:

■ Right, sir. Thanks a lot. I appreciate it. Thank you.

■ Moderator:

■ Thank you. The next question is from the line of Ketan Mehta from Baroda BNP Paribas Mutual Fund. Please go ahead.

■ Mr. Ketan Mehta - Baroda BNP Paribas Mutual Fund:

■ Thank you, sir, for the opportunity. A couple of questions. We mentioned that we have a fuel and loss of 10.6% in the quarter. How much reduction we can achieve on this fuel and loss when the plant operation normalizes?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ See, we were at Q1, our fuel and loss was around 11.4%. And our normalized thing was around 10%. So, we will be back to around 10% range, that is what our outlook is in Q2. And we have certain other projects which has lined up for reducing the fuel and loss. So, that is where we are

targeting another almost 1% reduction in the overall fuel and loss going forward.

■ Mr. Ketan Mehta - Baroda BNP Paribas Mutual Fund:

■ Thank you. Another question was about the exports. We export significant share of diesel. So, how much of our diesel is currently placed in the European market?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ See, our diesel is typically... we do not directly sell our diesel into the, as I can say, the end customer. It is all picked up through a tendering process by a trader. So, we don't foresee, as of now, any of our products coming into that kind of a situation. And mostly our diesel, what we understand, is not being going into the European market.

■ Mr. Ketan Mehta - Baroda BNP Paribas Mutual Fund:

■ Right. One last question was about the Isobutyl ethanol project that we have undertaken.

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Isobutylbenzene

■ Mr. Ketan Mehta - Baroda BNP Paribas Mutual Fund:

■ Isobutylbenzene, yes. Could you update us on that project and what could be the benefit of that plant?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

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■ Yeah, we have completed the factory acceptance test of the project. Now, as we speak, after the test, the system has been dismantled from the factory and it has been brought in and the erection is in process. We are expecting, by end of August, to have a mechanical completion, and probably start the trial runs say by third week of September or end of September.

■ Mr. Ketan Mehta - Baroda BNP Paribas Mutual Fund:

■ Thank you. And could you also remind us about the capacity CapEx and what could be the operational margins from this project?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Sorry, it is a pilot plant, it is not a full-scale plant. It is a pilot plant, demo plant. Pilot cum demo plant. It's not a commercial plant. It is a demo plant based on our technology. Once we're able to establish the product quality get the customer satisfaction, then we will be getting into a full-scale, commercial scale.

■ Mr. Ketan Mehta - Baroda BNP Paribas Mutual Fund:

■ Right, sir. Thank you.

■ Moderator:

■ Thank you. The next question is from the line of Rau Thakur from NVS Brokerage. Please go ahead.

■ Mr. Rau Thakur – NVS Brokerage:

■ Sir, just wanted to know what are the days of shutdown in this quarter?

■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ In this quarter there is no shutdown, please. We have completed our turnaround, and the complex, right now, is operating at full capacity.

■ Mr. Rau Thakur – NVS Brokerage:

■ Okay, that's it. Thank you.

■ Moderator:

■ Participants, to ask a question, you may press * and 1. Ladies and gentlemen, if there are no further questions, I would now like to hand the conference over to the management for their closing remarks.

■ Avin Gupta:

■ So, Avin this side. Thanks for attending the call on behalf of the management of MRPL. If you have further certain queries, you can contact via mail, and we'll try to answer that as soon as possible. Thank you.

■ Moderator:

■ On behalf of Prabhudas Lilladher Pvt. Ltd. that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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■ Mr. M. Shyamprasad Kamath - MD, MRPL:

■ Thank you all.

- END OF TRANSCRIPT

Call: Oct 2025

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MANGALORE REFINERY AND PETROCHEMICALS LIMITED

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24/10/2025

The Assistant General Manager,

Listing Compliance, BSE Limited

Scrip Code: 500109,

ISIN: INE103A01014

Scrip Code (Debenture): 959162, 959250,

960362, 973692 The Compliance & Listing Department

National Stock Exchange of India Limited

Symbol: MRPL, Series: EQ,

ISIN: INE103A01014

Debt Security: INE103A08019, INE103A08035,

INE103A08043, INE103A08050

Dear Sir/Madam,

Subject: Transcript of Conference Call held with Analysts and Investors to discuss the Un-Audited Financial Results for the quarter ended September 30, 2025.

[Ref: Intimation letter dated 10/10/2025]

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we submit herewith the transcript of the Conference Call on Un-Audited Financial Results for the quarter ended September 30, 2025, held on October 16, 2025.

Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the con-call.

The above information is available on the Company's website www.mrpl.co.in.

This is for your information and record.

Thank you.

Yours faithfully,

For Mangalore Refinery and Petrochemicals Limited

Premachandra Rao G

Company Secretary

Encl: A/a

E-mail: investor@mrol.co.in 4ft—a '4)1 &CLII - 575 030 (WU) Tel: 0824-2270400

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MRPL Earnings Call

2nd Quarter 2025

– Moderator – PL Capital:

– Good morning, everybody. On behalf of PL Capital, we would like to welcome you to this second quarter briefing of MRPL. From the management, we have Mr. M. Shyamprasad Kamath, Managing Director, Mr. Devendra Kumar, Director of Finance, Mr. Nandakumar, Director of Refineries, Mr. Deepak Prabhakar, ED Marketing, Mr. BHV Prasad, ED Projects and we also have Mr. Avin, Senior Manager Marketing. Congratulations for the phenomenal performance in this quarter, sir. And I would like to request you to give a briefing, and post that we can open the floor for Q&A. Over to you, sir.

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Good morning to everyone. And thank you for joining us on the second quarter earnings call.

– I am Shyamprasad Kamath, MD and CEO of Mangalore Refinery & Petrochemicals Ltd. Along with my leadership team, I will walk you through our Q2 performance, the operating environment we faced, and our near term priorities.

– First, the operating highlights for the quarter:

– Throughput, we processed 4.4 MMT of crude and other feedstocks. We completed our turnaround of one of the complex during Q1. And post that, we have come back fully. And that is how we have been able to display this kind of an excellent throughput, showing our capabilities of the refinery once again.

- Fuel and loss and product ease, the company posted a fuel and loss of 10.42%. Yes, the number is slightly on a higher side because post turnaround, there were some initial hiccups in the plants. But going forward, we expect this to be normal and the target could be around 10% for the rest of the fiscal year.
- Revenue on the financial performance. Revenue from operations came at around 25,953 crores, reflecting the rise in the cracks and the base crude price compared. We reported an EBITDA of 1,565 crores and a PAT of 639 crores and a substantial jump over the last year Q2 and subsequently from Q1 of '25 -26.

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- On the market context, global refining margins were better during the quarter due to some amount of supply disruptions and the normal growth demand in the country.
- Various agencies forecast tells us that cracks may remain healthy for the rest of the year. However, global markets, as we know, are a complex play of many factors, including demand supply, geopolitical scenarios, etc. Hence, hazarding a forecast may not be appropriate here.
- Domestically, the diesel grew at around 3% year -on-year basis, while the gasoline demand remained resilient at around 7% growth.
- ATF, we saw growth of about 1% year -on-year and going forward, the domestic demand growth is expected to be resilient and our focus on retail outlets will continue to deliver so that incremental margins are delivered for us.
- We expect Q3 also to be above 4.43 MMT of crude processing. And with GRMs already showing stronger in October, that is with the crude price, if the crude price does not fluctuate too much, we should also be able to post good numbers going ahead in the rest of the remaining quarters.
- We will be delighted and open to answer any of your queries.

- Thank you.

- Moderator – PL Capital:

- Thank you, sir.

- We will now request participants to raise their hands and introduce themselves and then proceed with the question.

- We have one question from Achal Shah. Let me just allow you to, you can unmute and go ahead.

- Mr. Achal Shah – Participant:

- Sir, am I audible?

- Moderator – PL Capital:

- Yes.

- Mr. Achal Shah – Participant:

- Sir, today's news we saw that there is so much uncertainty with respect to the Russian crude sourcing and there is a chance that we may have to stop sourcing from now. So, do you see, sir, any risk to that tune and what is your take on that?

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- Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals

Ltd:

- While, yes, there is some kind of a tweet which has come from the US President today. But, you know, there is another news which has also come saying that we will be doing what is best in the Country's interest and that's what the government has made a statement, also made a counter statement.

- Now, going forward, yes, it is not just the Russian barrel that we are going to look at. We have already started looking at other crudes which are available on discount by our own methods of sourcing crude. And on an economic basis, I am confident that we will be able to sail through. Regarding the Russian barrels, we still believe that government may not be, government has been maintaining that what is the lowest cost of energy sourcing that will continue for us. So, we are confident that it will continue in the near future.

- Mr. Achal Shah – Participant:

- Understood. And, sir, the final question is with respect to the reported GRMs and any inventory impact on those reported. So, what will be the adjusted GRMs? Can you throw some light on that?

- Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

- Good morning. This is Devendra here.

- See, following the industry practice and peer companies, we have discontinued reporting GRM in a published kind of way. However, there will be indicative figures for our management consumption. But looking at the overall published results, we

should be able to figure out that the GRMs reflect the reality of good cracks in the current quarter. And roughly, I'd say it is double of the previous.

– Mr. Achal Shah – Participant:

– Got it, sir. Thanks. That's it.

– Moderator – PL Capital:

– Varadha, you can unmute yourself and go ahead with your question.

– Mr. Varadha – Participant:

– Thanks. Just a couple of queries from my side, sir. With regard to the use of gas in the system, has there been an increase quarter-on-quarter? And, how do you see it going forward?

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– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– We are consuming gas both as a fuel and as a feed. So, on an economic basis, we keep on looking at it and we have been optimizing the gas intake. Going forward, we are hopeful that the gas prices are going to be economical only, for us.

– Mr. Varadha – Participant:

– So, at the maximum, what is the kind of amount of gas which you can potentially use in your refineries for both hydrogen as well as fuel?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Nanda, you would like to give some numbers on that? Nanda, you are on mute.

– Mr. Nandakumar – Director of Refineries, Mangalore Refinery and Petrochemicals Ltd:

– Audible now?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Yeah, you are audible.

– Mr. Nandakumar – Director of Refineries, Mangalore Refinery and Petrochemicals Ltd:

– We have a hydrogen unit which can take gas and we have power plants in our refinery as well as in the aromatic complex which has gas turbines. So, both can also consume gas. And in the extreme case, we can even take some gas into our general fuel of the refinery.

– So presently, I think I can put my outer limit considering the refinery and aromatic complex, it will be 0.7 MM SEMD. And with some modification in the near term, probably we can go up to as high as 1 MM SEMD natural gas. Though presently, we are not up to that limit, we are lower because of the economic outlook. The gas is not, to that extent, it is not yet, but we would be able to capitalize on that opportunity.

– Mr. Varadha – Participant:

– And with that, what would be the current run rate, sir? You said 0.7 to 1.

– Mr. Nandakumar – Director of Refineries, Mangalore Refinery and Petrochemicals Ltd:

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– It's close to 0.5, I can say, together.

– Mr. Varadha – Participant:

– Sure. Also, in the current

quarter vis-à-vis the previous quarter, if you can share any details as to the throughput of not crude but other products, so in the aromatic complex or for that matter any other chemical production, if you can share some volume, has there been a significant increase?

– Mr. Nandakumar – Director of Refineries, Mangalore Refinery and Petrochemicals Ltd:

– MD sir, would you like to answer or should I take it?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– I will have to take out the data.

– Moderator – PL Capital:

– So maybe we can come back on this question.

– Mr. Nandakumar – Director of Refineries, Mangalore Refinery and Petrochemicals Ltd:

– No, I can pitch in. As far as if you see our polypropylene, our operating capacity is still either at design or slightly above the design numbers, more than 100%. And the secondary process unit is also running more than its design number.

– As far as the aromatic is concerned, we produce benzene, which I would say, as a

by-product we extract. When we make MS, we need to extract out benzene from the naphtha streams that we take it out. And we also make MTO, mineral turpentine oil. We are also introducing, we have introduced already toluene, which is another aromatic product. So, we are into that. And toluene is actually a small quantity now at present because we have just started the production but we can go. So aromatic complex, presently we are producing benzene as a by-product from the extraction. And the aromatic complex is primarily making reformate which is actually sold as a feedstock also.

– Mr. Varadha – Participant:

– That's it. Sir, I'll come back for other questions.

– Moderator – PL Capital:

– Thank you, Varadha.

– Akash, you can go ahead and ask your question.

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– Mr. Akash – Participant:

– Am I audible?

– Moderator – PL Capital:

– Yes, go ahead.

– Mr. Akash – Participant:

– I just wanted to, just one question. I just want to understand in terms of the sourcing from Russia, how it has moved over the quarters. What's the proportion in the second quarter, current rep rate and what was it in the first quarter and how it's trending?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Can you, there was some disturbance, can you repeat the question, please?

– Mr. Akash – Participant:

– In terms of crude sourcing, what is the crude sourcing from Russia in the Q2? What was it in Q1, and what is, how it is trending in like, I mean, going ahead, how the company plans in terms of crude sourcing from Russia? What's the percentage of the overall crude basket for MRPL?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– See, there has not been much variation from the kind of crude, the Russian barrels that we have been sourcing in the previous quarters, no much variation. Only during the month of, in the first quarter there was some reduction because we had a plant, and to that extent only we have reduced. Or else we are now going back at the kind of levels in which we were there in the previous quarters. There is no change in that.

– Mr. Akash – Participant:

– Okay. And so that, that would be around what, how much would that be, like 35 - 40% or lower than that?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Yeah, maybe it's somewhere around that number, between 30 -35-40%.

– Mr. Akash – Participant:

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– Okay, that's it from me. Thank you.

– Moderator – PL Capital:

– Thank you, Akash. Dhaval, you can unmute yourself and go ahead with your question.

– Mr. Dhaval – Participant:

– Am I audible to you?

– Moderator – PL Capital:

– Yes.

– Mr. Dhaval – Participant:

– So, sir, I have one question regarding the FX. So, does the company have a guidance on where does it see the dollar to be, like INR:USD? And what could be the complete

impact on GRMs for the third and the fourth quarter? If you can share light on that.

– Second question I have is around sustainable aviation fuel, given the government has a 1% mandate and IOC has already started some work on it. Is there anything on cards for MRPL as well?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Yeah, I will take the second question first.
– On the sustainable aviation fuel, we are already implementing a SAF project in Mangalore, which has been mandated to us. It is based on an indigenous technology with a production rate of around a target of 20 kilolitres per day. This is one way. We are also looking at, you know, trying to produce SAF also from co-processing in one of our units. So, we have completed some amount of design works on that. And whatever is the 1% target, we will be ready by the date of, say, January 2027 to meet those targets.

– Mr. Dhaval – Participant:

– Okay, that's helpful. I understand that sourcing and all that is in place, right? Because I understand this will be much more expensive. Anyway, if you can answer the question regarding FX, I might later check with you offline regarding sustainable aviation fuel.

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

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– See, if you can visualize it, almost 40% of our total turnover is from our export sales itself. And even the domestic sale, most of it is linked with the RTP, which is again based on the international prices. To that extent, we are actually neutral on that account. So, your concern about FX rates having any adverse impact would not be, that is the interpretation would not be fully correct in that case.

– Moderator – PL Capital:

– Okay, thanks. That's all. Thank you.

– Moderator – PL Capital:

– Thanks, Dhaval. Deepak, you can unmute yourself and go ahead with your question.

– Mr. Deepak – Participant:

– Yeah, thank you for the opportunity and congratulations for a good set of numbers.

– So, my primary question will be, apart from the falling crude prices what has contributed to our EBITDA margin expansion?

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– There are two things primarily, that is from Q1 to Q2. Q1, the throughput was 3.5 against the average of around 4.5 MMT. This year, this quarter we have restored it to the routine 4.5 range. So, a clear jump of 1 MMT approximately from Q1 to Q2. A second is the improvement in the cracks, product cracks. So, our export sales have been pretty good, even the domestic sales, which is linked to that. So, both of them have contributed to Q2 profitably.

– Mr. Deepak – Participant:

– Got it.

– And coming to the macros, as America is constantly pushing us apart from the Russian oil, how do you see that over the ground?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Yeah, on the ground per se, in the Indian context, if I can say, or in MRPL's context, we are not trying to slow down or anything. For us, it is business as usual with respect to sourcing, because we are sourcing those Russian barrels that is available today.

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– Mr. Deepak – Participant:

– Got it.

– Third but not last, who is your technology partner into SEL?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– It is a domestic developed by EIL and IIP. It's an IIP technology along with EIL.

– Mr. Deepak – Participant:

– Got it. Okay, thank you.

– Moderator – PL Capital:

– Thanks, Deepak.

– Sumeet, you can go ahead and unmute yourself and ask your question.

– Mr. Sumeet – Participant:

– Thank you for the opportunity.

– First is, how many retail outlets are operational right now and what is our road map for the same?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and

Petrochemicals Ltd:

– Yeah, as we speak, we have

commissioned about 185 retail outlets in the three states, Karnataka, Kerala and Tamil Nadu. By the end of this year, we target to cross 250, that is the number. And we also plan to add at least another minimum of around 100 to 130 retail outlets on a year-on-year basis from there.

– Mr. Sumeet - Participant:

– Okay.

– Secondly, when can we expect a separate reporting of the retail outlet revenue and the international sales?

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– Right now, we consider that the retail outlet sales is forming a small part of the overall sales and it is in a growing phase. So, till it stabilizes, we would like to keep it on a consolidated basis. And once it takes off on its own, otherwise we will keep comparing the expansion cost and comparing with the sales from only retail

outlets which will not give a correct, true and fair picture. So, maybe next year onwards, as early as next year onwards.

– Mr. Sumeet – Participant:

– Okay. Two more questions. One is the Russian crude which we are buying, how much discount we are getting right now?

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– This is a question which keeps coming up on and off in this forum. See, Russian discount is to be treated at two levels. One is the direct kind of discount which you look at, which could vary anywhere between half a dollar to maybe about four dollars. That is the range we have seen in the past. It is not fixed for each cargo which comes. More importantly, the second part is the timing issue. These are all crudes which are on delivered basis. So, it derisks our timing issue. And just to give a sense of proportion, even if two crudes are at level, the preference will be for Russian barrels just because of the contractual terms. It is on delivered basis.

– Mr. Sumeet – Participant:

– Okay, got it. Final question from my side. Are we buying US crude also? And if yes, how much costlier is it because of the logistic cost or other factors?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– No, we see any crude that we source is done on an economic basis. So, the US crude is also there in the basket when we carry out the evaluation. Currently, we are not, it is not getting picked up on an economic basis as of now. But going forward, the situation can be different. We did buy a Russian crude in the last quarter of, in the last financial year, we had purchased one cargo of US crude.

– Mr. Sumeet – Participant:

– Okay, thank you very much.

– Moderator – PL Capital:

– Thanks, Sumeet.

– Indra Kumar, you can unmute yourself and go ahead with your question.

– Mr. Indra Kumar – Participant:

– Thank you, sir. My question is regarding the retail outlets. So, if I remember last quarter, we added around 170 retail outlets and right now we have only 185. So,

just wanted to know the incremental addition of outlets from previous quarter to current quarter. Thank you.

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– In this financial year, we have added almost 18 retail outlets now. And as we speak, another 35 retail outlets are under construction. So, typically the construction period is about 75 to 90 days for constructing a retail outlet and bringing it to commissioning. So, that is where we are today.

– Mr. Indra Kumar – Participant:

– Thank you, sir.

– Moderator – PL Capital:

– Thanks, Indra Kumar.

– Sir, we have a couple of questions in the chat box. I would like to request you to answer on that one.

– So, first question is any update on proposed Phase 4 expansion or any

petrochemical diversification projects and if you could give any timelines or expected capex on that part.

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:
– See, there are

two parts of it. One based on the refinery streams which were available. The final report on that has come and that is under review now.

– The Phase 4 expansion, the study is also being carried out and that report is also yet to be concluded. Because the current market dynamics are, we are looking at various options on that considering the current market for the petrochemical products.

– Moderator – PL Capital:

– Sure, sir.

– The next question is on the isobutyl benzene project that we have said we will be doing a pilot upon. If you could give any timelines for that as to what is the update on it.

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

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– The unit is almost ready for declaring a mechanical completion which probably we will be declaring in probably in the next week to 10 days, mechanical completion.

And by mid-November to 3rd November, we are confident of commissioning or taking the first trials on this unit.

– Moderator – PL Capital:

– Sure, sir.

– Another question is on the payables. Payables seem to have increased in H1. So, if you could give the reasons and if you could also assist us with a normalized level of payables on that.

– Mr. Avin – Senior Manager - Marketing, Mangalore Refinery and Petrochemicals Ltd:

– So Avin this side, there is a short term bump in the payables side that will be settled because of contractual terms rate. The payments are getting due in by 15th of October or 16th of October, so it will be settled in these two weeks. Actually, it would have been settled till now also. So, that will normalize in Q3. There is no extraordinary jump or something like that.

– Moderator – PL Capital:

– Sure, sir.

– I think, Achal, do you have a follow-up question?

– Mr. Achal Shah – Participant:

– Yes, sir. I just wanted to know, so what is the average throughput per outlet we are seeing? How are the outlets performing and why is there any push by private players and even you guys, to expand the retail side?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd :

– I would request our ED Marketing, Deepak, if you can take that question on the average sales per RO.

– Mr. Deepak Prabhakar – ED Marketing, Mangalore Refinery and Petrochemicals Ltd.

– Yeah, good morning, Deepak here. So typically, we have been seeing an average sale of about 140 to 160 KL per RO per month. And this is very much in comparison with what other public sector OMCs also achieve. While private sector OMCs, some of the OMCs have higher sale because of a different model. Certain other companies adopt a model of low volume, high penetration. We are approaching it

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as a middle path where we would also look at both penetration as well as minimum threshold volume of at least 130 to 140 KL per month per outlet.

– Mr. Achal Shah – Participant:

– And, sir, on the part where, why is there a drive to increase both from OMC side and private side for expanding the outlet rather than exporting it?

– Mr. Deepak Prabhakar – ED Marketing, Mangalore Refinery and Petrochemicals Ltd:

– So, see, there is a strong, as MD said in the beginning of the presentation, there is a strong domestic growth happening in both MS as well as HSD. So, there is still adequate space in the market for more numbers of retail outlets. And it is also a fact that while there is a lot of concentration in urban areas, as we move to rural areas and to emerging areas like MDRs and state highways, the penetration is not

all that good.

– Plus, there is a lot of new highway expansion that's happening within the country. So, these locations also would need to be fed. So that's why there is a significant push towards, not just by the private and standalone refineries, I would say even by the established payers, there is a push towards installing new retail outlets.

– Mr. Achal Shah – Participant:

– Sir, just one clarification

on from CFO, sir. Sir, you mentioned about the de-risking

part, the second portion of the Russian discount part. Can you elaborate because I was not able to understand that portion.

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– The second part is concerning the contractual terms. It is, crudes are delivered normally FOB or delivered, that is the pricing is decided on the date of delivery. So, there is a timing issue. Crudes coming from US is more than a month away. So, you are fixing up the price at the start of the journey. Here the price is fixed, finalized at the delivery point. So, it reduces the timing difference between the pricing when it is actually reaching the refinery gates and when you sell the product after maybe 25 days of processing that reduces the uncertainty in the pricing.

– Mr. Achal Shah – Participant:

– Majority will be DES and FOB versus CIF for MRPL?

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

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– Yes, Russian barrels are delivered, yes.

– Mr. Achal Shah – Participant:

– Understood. Thanks, sir. Thanks for the clarity, I appreciate that.

– Moderator – PL Capital:

– Thanks, Achal.

– Somaiya, you can unmute yourself and go ahead with your question.

– Mr. Somaiya – Participant:

– Yeah, hi. Thanks for the opportunity. I hope I'm audible.

– Moderator – PL Capital:

– Yeah.

– Mr. Somaiya – Participant:

– Yeah, thanks. So, first question is on the product cracks. So, we have seen diesel cracks kind of going up. It's almost crossed \$20. And gasoline also is weak. It's also starting to catch up. And also, we have seen some tightening in Naphtha also. Could you give us some color in terms of supply demand dynamics? Is it purely because of some supply outages because of the Russia -Ukraine war that's causing supply crunch and cracks are going up? Or is there anything else different that's happening in the global space?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– There is one more point which is there. There are some of these refineries which are getting closed down. That is also adding into the supply -demand issue. Like we have seen a couple of refineries getting closed down in the US. Australia, we understand only one refinery is operating now. That is also on the verge of probably getting closed down, something like that. New Zealand has practically closed down the refinery. So, apart from the geopolitical things, some of these refineries getting closed down is also pushing the supply -demand imbalance.

– Mr. Somaiya – Participant:

– Understood, sir. On the demand side, is there anything else? I mean, demand estimates have been cut down through the year, what started at like 1.2 -1.3 has now come down to 0.6 million barrels a day. Is this sustaining at these levels or you're seeing demand to be trending even lower than what was expected in recent times?

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– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– The domestic demand, as I mentioned, MS is resilient and we are expecting it to grow. With the recent changes in the GST also, we have seen the kind of sales that have got picked up in the automobile sector. The diesel demand is also, now that monsoons are over and there was a good monsoon, we are expecting the diesel demand also to come back soon. And we are seeing that now. It's almost 2 -3%

there is a demand for diesel also.

– Mr. Somaiya – Participant:

– Understood, sir. Sir, with respect to Russia's sourcing, I mean, these are all on spot basis or do we have some contracts, medium-term contracts for this?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– These are all, I would say, on a spot basis. We don't have a kind of term deals for Russian supplies.

– Mr. Somaiya – Participant:

– Got it, sir.

– And als

o, if the Russian barrels ha ve to be replaced, which will be the ideal mix of crude that we would look for as a replacement?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– It's a very difficult kind of a question which, depending on how the product c racks are and how the demand supplies are, the crude economics change. So, it is difficult to say that A crude will be replacing the B crude. It's basically on economics and given on that particular period of time.

– Mr. Somaiya – Participant:

– Got it, sir. Sir, in terms of your CAPEX outlook, how do we look at it for the next couple of years? And also, you know, in terms of deleveraging, how would we look at it?

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– We do have a normal CAPEX for a refinery like the routine revamping or enhancement of life projects or other smaller projects like sir has just mentioned about the isobutyl project. In addition, there is a CAPEX, ongoing CAPEX for Phase 16

4, the initial part of it, so , plans are offered. Only thing is we cannot give any concrete details about the Phase 4. The study is still being finalized and to be reviewed internally at the highest of levels. So, that is about the Phase 4, that is the major part. Apart from that, the re are some JVs which are under consideration at high level and with the parent company. And it will be taken up as and when something concrete is available. So, sharing any details will be too preliminary at this stage.

– Regarding your second question, ju st repeat it so that I do not miss out on the accuracy part.

– Mr. Somaiya – Participant:

– Yes, sir. The question was more on deleveraging. And also, if you could give...

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– We ha ve an upcoming SET table at the end of this calendar year. And we are on target, on schedule to pay that from the internal resources. And given the market conditions, we do not expect it to be refinanced. That is our current plan.

– Mr. Somaiya – Participant :

– Understood, sir. And in FY26, what is the CAPEX plan for the current year?

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– CAPEX plan is in the range of typically 1500 crores, that is the normal. If there is any move ment on Phase 4, so that will be enhanced suitably. And if there is a major project, then it will be leveraged accordingly. But that is still some time away.

– Mr. Somaiya – Participant:

– Helpful, sir. Thank you.

– Moderator – PL Capital:

– Thanks, Somaiya. Sir, we have a few more questions in the chat box. We will just take it one by one.

– So, what is the difference in logistic cost from US versus that from Middle East?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

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– It could b e around, if I could just put up a number, around \$3 per barrel. See, it again depends, US cargoes, at times, we take it on a delivered basis also. So, it is difficult for us to really put a number. And it all, again, depends on the kind of cargo sizes we are talking about. Because typically, US, we will always be looking

at a 2 million barrel versus the Middle East, I can always look at a 1 million barrel. Vessel availability, it plays a major role in the freights depending on whether a Suezmax or on VLCC availability, we have seen for a Suezmax cargo, a VLCC is cheaper. So, those kinds of scenarios are also we have been seeing. So, putting really a hard number is difficult. But on a thumb rule, you can say it is \$6 to 7 differential.

– Moderator – PL Capital :

– Sure, sir. So, the next question is, what was the split between domestic sales and exports in the quarter 2?

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– We mentioned, it's about 40% export sales

.

– Moderator – PL Capital:

– Sure, sir. One person is asking the forex loss that we had of 355 odd crores. Was that on account of crude or crude consumed or account of the crude which is lying in the inventory?

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– No, forex loss is on account of two things. What you see there, one is the realized, that is on the transaction part and the other is the revaluation of our outstanding ECB loan. So, it's about 100 odd crores on the realized part, on the transaction part and the balance is towards the revaluation which is marked to market. So, it is not something which is sustained. It could get actually reversed if the exchange rates move.

– Secondly, we did discuss some of the forex movement earlier that you don't actually lose out. If there is a movement in foreign exchange, what you see in the expenditure side is actually more like a contra entry, you get compensated on the revenue side.

– Moderator – PL Capital:

– Sure, sir. So, another question is, the person is asking about our initiatives towards energy transition like biofuel blending or let's say hydrogen adoption or

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decarbonization. Are there any milestones that we intend to complete in FY26, for example?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– FY20... No, the projects are on right now. In terms of, say in terms of SAF, I mentioned about the project which is on. In terms of decarbonization, we have a kind of power input project with which we are expecting our carbon emission also to come down. So, that is expected to be commissioned by middle of next year. So, that is a CAPEX project which is also going on.

– Moderator – PL Capital:

– Sure, sir. We have next question from Sumeet. Sumeet, you can unmute yourself and go ahead with your question.

– Mr. Sumeet – Participant:

– Yeah. Any maintenance planned during the remaining year of the remaining time period of this year or next year maybe?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– There is no planned maintenance during the balance of year. I mentioned in my opening remark that we have completed a turnaround of one of the complexes which was due.

– Mr. Sumeet – Participant:

– Okay. And the retail outlets which we are opening, are we just focusing on liquid fuels or we are also keeping some provisions for maybe CNG or EV charging stations out there?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Deepak, you would like to take that question?

– Mr. Deepak Prabhakar – ED Marketing, Mangalore Refinery and Petrochemicals Ltd:

– Yes. Deepak here.

– Yes, all our retail outlets would feature one alternate fuel option. It could be CNG or it could be an EV charger. We look at it as a mix of requirement of the customers. So, many places we would install chargers which are capable for two

and three wheelers because that is the current market space. And some of the larger highway outlets, we would be also looking at larger charging stations in collaboration with some other companies. So, yes, we do have a mix of all fuels planned for our retail outlet while the focus remains on liquid fuels at the moment.

– Mr. Sumeet – Participant:

– Okay. Last question from my side. On the hedging policy, do we hedge anything on the currency part or we just keep it open like?

– Mr. Devendra Kumar – Director of Finance, Mangalore Refinery and Petrochemicals Ltd:

– We do a small hedge on the crude purchases, but we do not do hedges in terms of paper transactions and commodities as such.

– Mr. Sumeet – Participant:

– Okay. Thank you very much, sir.

– Moderator – PL Capital:

– Thanks Sumit. We have a follow up question from Indra. Can you go ahead and ask your question?

– Mr. Indra Kumar – Participant:

– My question is regarding the crude

sourcing. So, I've seen the result that there has been some sourcing from Kuwait. Just wanted to understand, is there any difference in terms of a minimum discount in crude sourcing from Russia versus Kuwait, whether it is kind of positive as compared to Russia?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Yes, it is slightly positive compared to Russia. That is all I can tell you.

– Mr. Indra Kumar – Participant:

– Any number if you can provide, please?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Well, it is difficult to put a hard number there for me because that will be challenging. It is not possible to share that number, but it is slightly at a positive to the Russian bank.

– Mr. Indra Kumar – Participant:

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– Okay. All right. Thank you, sir. That's all I have.

– Moderator – PL Capital:

– Thanks, Indra.

– Gagan, you can unmute yourself and go ahead with your question.

– Mr. Gagan – Participant:

– My question is regarding the OMPS, what is the production volume in the last quarter? And if you just give the sense about what are the typically averaged....

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Can you repeat the question? Gagan, can you please repeat the question?

– Moderator – PL Capital:

– Gagan, can you please repeat the question, there was a lot of background noise, the management was not able to hear it.

– Mr. Gagan – Participant:

– Yeah. So, my question is that for the OMPLs, what is this production volume in the last quarter, I mean, in the September quarter. And if you can give some sense about some products, what are the prices and this margin, gross margin in dollars per ton basis in the last quarter?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– I can't right now because I don't have the data right now. But all I can tell you is the complex in the Quarter 2 we have operated beyond 100%. And we were on a reformat mode of operation from that complex and making benzene also. So, I'll have to pull out the data right now, I don't have it.

– Mr. Gagan – Participant:

– Okay. Okay. So mostly it's the reformat. Again sir, what is the average realization that will be helpful, sir?

– Mr. Deepak Prabhakar – ED Marketing, Mangalore Refinery and Petrochemicals Ltd:

– Sir, can I chip in here?

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Yeah, please, Deepak.

– Mr. Deepak Prabhakar – ED Marketing, Mangalore Refinery and Petrochemicals Ltd:

– Gagan, OMPL as an entity does not exist. It is a fully integrated aromatic complex for us. And as such, the main purpose of doing the merger was also to operate on an integrated basis. So, we really don't look at OMPL as a separate entity where we need to calculate margins and things like that separately. So, it is part and parcel of our overall refining margin.

– Mr. Gagan – Participant:

– Okay. Even if you can give us a sense about the reformat, that the prices that will help, otherwise, okay.

– Management - Mangalore Refinery and Petrochemicals Ltd:

– Reformat is typically linked with one of the MS grades, higher on MS grades, typically MOGA S 97 or higher.

– Mr. Gagan – Participant:

– Okay. That's fine. Thanks.

– Moderator – PL Capital:

– Thanks, Gagan. Achal, you can unmute yourself and go ahead with your question.

– Mr. Achal Shah – Participant:

– My final question to Deepak, sir. So, sir, as we see crude moderate further, do you expect any excise duty hike or RSP cut in the MS or HLG price at later update levels ?

– Mr. Deepak Prabhakar – ED Marketing, Mangalore Refinery and Petrochemicals Ltd:

– No, that's, I think, a question that we will have to answer when the time comes. While we have seen the entire range of cracks and prices in the past one and one

and a half years, and we have seen retail outlet prices remain stable, so, we expect that to continue. But then I'm not really anticipating an excise duty change unless, of course, the impact of the recent GST2 has been very significant on the States, but which is not really the case. At least October month indications are that it is fairly neutral. So, it looks as if we may see stable prices going forward.

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– Mr. Achal Shah – Participant:

– Understood. Thanks, sir.

– Moderator – PL Capital:

– Thanks, Achal. Sir, we have the last question in the chat box, where the person is asking a rough breakdown of petrol, diesel, jet fuel for Q2 as well as for first half.

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Quantity, in terms of quantity, right?

– Moderator – PL Capital:

– Yes, either quantity or yield, I think both should be.

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– See, in terms of the live distillates, in Quarter 2 we were at around 30%, 29.8%, compared to 31.4% in Q1. Middle distillates in Q2 was 53.6% versus about 49.6% in Q1.

– Moderator - PL Capital:

– Thank you, sir. So that was the last question. So, on behalf of Prabhudas Lilladher, we would like to thank all the participants for their valuable time.

– And we would like to thank the management for giving us this opportunity to host this call and to interact with the investors and give answers in detail for their queries.

– Thank you very much, sir. All the best for the future.

– Mr. Shyamprasad Kamath – MD and CEO, Mangalore Refinery and Petrochemicals Ltd:

– Thank you. Thank you all and Happy Diwali to all.

– Moderator – PL Capital:

– Happy Diwali, sir. Thank you.

– Management - Mangalore Refinery and Petrochemicals Ltd:

– Thank you and Happy Diwali. Bye.

– End of transcript

Call: Jan 2026

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MANGALORE REFINERY AND PETROCHEMICALS LIMITED

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Ritair7/ CIN : L19200KA1988GOI008959 , Website : www.mrpl.co in

23/01/2026

The Assistant General Manager,

Listing Compliance, BSE Limited

Scrip Code: 500109,

ISIN: INE103A01014

Scrip Code (Debenture): 959162, 959250,

973692 The Compliance & Listing Department

National Stock Exchange of India Limited

Symbol: MRPL, Series: EQ,

ISIN: INE103A01014

Debt Security: INE103A08019, INE103A08035,

INE103A08050

Dear Sir/Madam,

Subject: Transcript of Conference Call held with Analysts and Investors to discuss

the Un-Audited Financial Results for the Quarter and Nine Months ended

December 31, 2025.

[Ref: Intimation letter dated 13/01/2026]

Pursuant to provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure

Requirements) Regulations, 2015, we submit herewith the transcript of the Conference Call

on Uri-Audited Financial Results for the quarter and nine months ended December 31, 2025,

held on January 19, 2026.

Further, we wish to inform that no unpublished price sensitive information was shared/ discussed in the con-call.

The above information is available on the Company's website www.mrpl.co.in.

This is for your information and record.

Thank you.

Yours faithfully,

For Mangalore Refinery and Petrochemicals Limited

Premachandra Rao G

Company Secretary

End: A/a

E-mail: investor@mrpl.co.in 1:104V Wtirreq: T171-41*(<, Tzir cOlciNKTII TiTrqw - 575 030 (1-IRV) Tel: 0824-2270400

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Transcript of MRPL Concall held on

19th January 2026:

Participants

MRPL :

Mr. Devendra Kumar, Director Finance &

CFO & Team

PL Capital :

Mr Swarnendu Bhushan

Swarnendu Bhushan: On behalf of PL Capital, we would like to welcome all the

participants to this Quarter 3 results conference call of MRPL. From the management,

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we have Devendra Kumar sir, who is the Director of Finance, and we have Subhas Pai sir, who is Head Finance and we also have Avin Gupta, who looks after investor relations. So, I would request the management to give a brief overview of the results, post to which we can open the floor for Q&A, sir. Over to you, sir.

Devendra Kumar: Good morning, everyone. Welcome to the third quarter concall to discuss the financial performance of the company. As you are aware of the numbers published last week, MRPL posted a significant jump in year-on-year,, as well as quarter-on-quarter performance this quarter.

The EBITDA earned by the company was Rs.2,824 crores versus Rs.1,064 crore for

the last year Quarter Q3. Healthy market prices, optimum energy consumption and throughput led to published bottom-line numbers. MRPL posted MBN of 67. MBN is a measure for energy efficiency for its capacity and its complexity. So this was the best number posted in any quarter.

The fuel and loss stood at 10.06% for the quarter which is also one of the best in any of the quarters. Further, current debt stands at Rs. 9,290 crores and debt equity stands at 0.63. If the market remains good, and which we sincerely hope will, we should be able to reduce the same further during the next quarter.

Further, for the sake of repetition, based on several queries we get off and on, MRPL is now well past its summer water blues due to desalination plant. MRPL is also a unique refinery in India with 3 separate crude trains that gives us operational and maintenance flexibility with slightly higher fuel and loss. The said higher fuel and loss will also be taken care within the next fiscal year with grid power project, which will bring it under 10, closer to 9.5, but it will be somewhere between 9.5 and 10.

We are also the first Indian refinery that is establishing a Bio-ATF plant at a cost of Rs. 364 crores. The plant will help us to get in compliance with CORSIA Norms. CORSIA Norms is for Carbon Offsetting and Reduction Scheme for International Aviation Fuel. And we'll be able to supply blended ATF across the globe, starting from 2027. 2027 is that 1% blended ATF.

We have consistently won the prestigious Innovation Award at the Energy Technology Meet last visit to Hyderabad, four years in a row, including the current year. Efforts of our innovation team will start to show from next year when the IBB pilot plant gets running. IBB is for Isobutyl Benzene, it is a base for pharmaceutical. On Retail Outlets front, we are delighted to announce that we have achieved 200 mark, and should be able to complete around 250 Outlets within this fiscal year itself. For the upcoming quarter the refinery is focused on maintaining its operational performance and we expect the market to continue to support us and we should be

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able to post a reasonably healthy Q4 25-26 also. Now we are open to questions and clarifications from our investors and analysts. Please.

Swarnendu Bhushan: Yeah, Daval, you can go ahead and introduce yourself and ask your question.

Dhaval Popat: Yeah, hi, thank you for giving the opportunity. I understand that MRPL exports Diesel to Europe and there is 18th sanctions package that comes into effect on January 21. So, can you help me understand what is the situation in terms of sourcing of crude that MRPL has now, as well as going forward, and whether this will impact MRPL's earnings by any chance, or will it not be able to export to Europe, or how is that?

Devendra Kumar: We are in strict compliance with all sanctions in place and currently there are no Russian crude which is being imported and we will continue to comply with any of these international sanctions regime or government guidelines.

So in near future we do not expect anything to stop our export of finished products.

Dhaval Popat: Okay, this is really helpful and second question I had was in terms of I do understand you have access to VLCC but in the terms of freight rates is the company doing anything to minimize this? And a third question I have is on fuel and loss. So you said it is going to be lower in terms of power grid. But is there anything else that company is doing for energy integration as well? So one of course on the freight rates how is company managing that? And second on energy integration. Any other programs being run by the firm?

Devendra Kumar: First question first, freight rates. We did see a spike in freight rates earlier in Q3. But the freight rates have gradually come down to the normal levels.

They're still higher than the averages but it has come down significantly from its peak.

So freight rates are not a deal-breaker in any of our imports. The point number two regarding energy integration. See the location plays a very crucial part. Based on the availability of the kind of energy mix, we will continue to explore further. Currently, some of our energy is being based on the grid availability is being considered. It is already online and next year this particular project should get completed. That will bring down the F&L well below 10. Right now, I do not want to put a number to it. But we are targeting somewhere between 9.5 and 10 and we'll continue to keep improving because grid availability is something which is slightly or majorly beyond our control although we continue to have interaction with the policymakers and other places in the region.

Dhaval Popat: Yeah, that is helpful. Thank you.

Swarnendu Bhushan: Mayank, you can introduce yourself and go ahead with your question.

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Mayank M: Thanks, Hi, Mayank here from Morgan Stanley. A couple of questions from my end. First was in terms of you talked about the crude sourcing changes. Can you just tell us the impact on margins you have had because of these crude changes? Because you're not disclosing refining margins anymore? So if you can just give us an idea of what's the impact on the GRMs that you have kind of seeing?

And second in terms of costs that you were talking about on grid power etc can you just tell us is there a way you can also lower your costs on the gas sources side and how much has been the impact on that, if there is any.

And the third question related to was there has been a bit of an increase in terms of sulfur prices, etc. What has been the impact on margins for you and where do you see those going? Thank you.

Devendra Kumar: Okay, first is regarding the crude sourcing and GRM. If you recollect during half-yearly accounts that is Q2 accounts, we had taken a policy step that GRM computations and depictions and publications are not standardized by the different companies or in any of the forums itself. So we had discontinued publishing that and it is also in line with some of the other major PSUs and other companies also. However, we had given an indicative figure that it is double of what was the Quarter 1 margin. It is still in a similar range, at a cumulative level.

Coming to the crude sourcing part, we have consistently maintained our stance that Russian crude were opportunity crudes. They always played a marginal role in our overall strategy, they were always playing a marginal role in improving the bottom lines. But it was not kept as a crucial factor. We did have a margin on Russian barrels initially and it had come down significantly towards the later part of the calendar year. So loss of Russian barrels is not going to make a significant kind of an impact whereas on the finished product side you have seen the cracks going significantly up. So that more than offsets the loss on account of Russian Barrels. And that is how you see a very healthy Q3 performance of the company. Coming to a question to regarding gas can you just re-state that I did not get it correctly?

Mayank M: So, sir, I think the reason to ask that question on gas was that you do use like LNG, prices have been high for most of this year and fuel oil was kind of becoming the alternative source for most refiners to kind of run the refineries as such. It was much more economical. From going forward basis are you seeing any areas where you can actually lower your costs by sourcing cheaper LNG is where the question was coming from.

Devendra Kumar: See, our LNG consumption is relatively low and we already have a term contract with BPCL and it is at a significantly competitive price, it is not way above, and in fact, the newer LNG may, in fact be higher than that, I'll not disclose

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the final prices. It is very competitively available to us and parallelly we are also exploring other sources including CGDs including the parent company because parent company also has a certain arrangement with the CGDs especially in the southern areas where there is some untapped gases. So all those discussions are on. It is yet to be firmed up. The commerciality has to be worked out on all the ends both at parent company level, our level, as well as CGDs, but it is still in its infancy. So gas costing is not going to be a crucial issue, it is a very marginal issue. Now coming to the third point, sulfur, again, Sulfur, we still treat it as a secondary (product). It is again treated as a marginal item. If the prices are on the higher side, it is not part of a strategy, but, it is all right with us.

Mayank M: Okay, great, thank you.

Devendra Kumar: Yeah.

Swarnendu Bhushan: Thanks, Mayank. Kaushal, you can introduce yourself, unmute, and go ahead with your question.

Kaushal Kedia: Am I audible?

Devendra Kumar: Yes, Kaushal.

Swarnendu Bhushan: That's good.

Kaushal Kedia: Thank you for the opportunity, sir. I'm a little new to the company.

Just wanted to know what is the revenue mix, as in, like, what is diesel, what is ATF?

Can you just throw some light on that? And what are the cracks, what are the cracks in Q3, and what are the cracks currently?

Devendra Kumar: Excuse me. Yeah, Avin is going to read out the numbers.

Avin Gupta: So I'll come to the cracks first. The Q2 cracks were comparatively healthy when we compared it to the Q1. HSD was around, 15. ATF KERO was around 13 and MS, also marginally improved from whatever we were earning in Q1. Coming back to question number one, volume-wise our product slate gives us HSD plus ATF at around 50% and MS at around 15% and the remaining 35% comes from other products. So this is what a broad level breakup of our product slate is. This also includes 10% of fuel and loss that straight away goes into our fuel part of it.

Kaushal Kedia: So, I can understand the cracks question. So, Q2 cracks were around \$15 to \$13, and Q2.

Avin Gupta: Yeah.

Kaushal Kedia: And Q3 was... how much is it currently?

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Avin Gupta: Okay, so currently, it jumped, from Q2 was 15, and Q3 was 21 for HSD.

Similar for ATF, and MS from 8 to 13.

Kaushal Kedia: And currently, how much is it? Like, how much is it the ongoing?

Maybe it's what we can expect.

Avin Gupta: Currently, it is not as high as 21 and 13 that I told you. It has come down, and it has moderated to around 14-15. This is what, the current published cracks are.

Kaushal Kedia: So, from 21, it's come down to 14, 15, and...

Avin Gupta: As of now, as on date,

Kaushal Kedia: So it's similar to what Q2 levels were, basically.

Avin Gupta: Yeah cracks are right now in the trajectory that was in Q2.

Kaushal Kedia: Understood. Okay, so thank you very much for that.

Devendra Kumar: Thanks, Kaushal

Swarnendu Bhushan: Thanks, Kaushal. Akash, you can, unmute yourself and go ahead with your question.

Akash Mehta: Hello, yeah, hi. I just wanted to understand what would be the impact in terms of higher freight rates in the 3rd quarter, maybe in dollars per barrel or rupees per barrel?

And second relating question, you said the freight rates are kind of normalized right now. I mean, the disruptions still remain, right? I mean, is, it normalized for you, or the industry, or... How to look at it here.

Devendra Kumar: Thanks, Akash, for this question. I'll be repeating myself, the freight rates were a concern both from investor analyst perspective, as well as our perspective. There was a supply issue, but in the current context, other than the Middle East tensions, there is no supply crunch for these vessels, rates are gradually coming down. It is no longer what it was at the peak in Q2. It has come down significantly, but it is not close to the Q1 levels. So, there is a big mix of rates. I can only say in general terms that it is slightly higher than the Q1 rates, but way below the Q2 and early Q3 rates.

Akash Mehta: Sure, sure. That helps, yeah. Yeah, that's it. Thank you.

Devendra Kumar: Thank you, Akash.

Swarnendu Bhushan: Thank you, Akash. Sumeet, you can go ahead and ask your question.

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Sumeet Rohra: Thanks. Hi, sir, good morning. Firstly, sir, I would like to, you know, get if you take a 5-year perspective, can you throw light on, you know, where do you see our company, in terms of, you know, refining, in terms of marketing, because you're also adding some outlets? So if you, so if I take a 3-5 year view, can you just show, you know, share what are your big growth plans? Going ahead, sir?

Devendra Kumar: From a strategy point of view we have realized that Retail is going to be a big game changer for the refinery. Early it was just like a base refinery but over a period with capacities coming up in other refineries so we expect that this is the major area where we need to work much smarter, and that is how we are focusing majorly on retail outlets. Because the margins available on retail is superior to what you get only at the refinery transfer. And, in fact, export sales can be a little volatile. Occasionally, it favors us, and occasionally there are pitfalls in that export sales.

Retail will give us a sense of stability going forward. So, in 3 years' time we are planning about 500 outlets. And we are keeping this target as reasonable and modest. We don't want to go overboard. And in 5 years' time about 1,000 and that is where the expansion is supposed to reach a very crucial tipping point where the growth rate 5 years down the line should be much higher. In a typical retail marketing outlet, establishing the first few hundred outlets is very difficult because you start from scratch but then you are way ahead on the learning curve and it becomes speedier and speedier, so you will see a significant growth in terms of our retail portfolio. And we are targeting that particular segment.

Sumeet Rohra: So how many fuel outlets do we have today?

Devendra Kumar: Today we have 200 we're targeting 250 by this year-end, 500 by 3 years' time, and that is keeping it as a conservative figure.

Sumeet Rohra: Okay, very nice. Thank you so, so much, and I wish you all the best, and good luck, sir.

Devendra Kumar: Thank you Sumeet

Swarnendu Bhushan: Then, Nileshe you can unmute yourself and go ahead with your question. Nileshe, you're not audible if you are speaking.

Nilesh Ghuge: Am I audible now?

Devendra Kumar: Yes Nilesh.

Nilesh Ghuge: Yeah, yeah, thanks. Thanks for the opportunity. So, as you mentioned, that you are planning to expand from 200 currently to 500 and then subsequently to 1,000 retail outlets. So what kind of investment you see over next 5 years in marketing? And this is just on the retail side you are mentioning, but what

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about the depots and the pipeline infrastructure that you are planning to develop over, let's say, 5 years?

Devendra Kumar: We are already, that is, aligned, with our retail outlets. The question is absolutely right. Any kind of retail expansion requires the secondary capacities to come up and we are targeting the states which are adjoining Karnataka in the near future and we are also targeting establishment of depots in all these locations both on the East Coast as well as the West Coast. So Mumbai is a target, Maharashtra, Vizag, and we are looking for capacities. Kerala is target. We already have capacities, we are also looking at expansion of those capacities based on our retail offtake. And we will continue to also look at the pipelines. The latest being, we are targeting the Bangalore airport pipeline. The tenders were already on the final outcome is awaited and that is the Devanganti-Devanhalli pipeline. And as and when future opportunities come we'll continue to look at those.

Nilesh Ghuge: And sir what kind of investment in marketing you envision over let's say a couple of years or 3 years down the line?

Devendra Kumar: See these kind of infrastructure will depend on the licensing, the time, because the retail outlets do take certain time, so I'll not give it timeframe. But typically the depots could be in the range of 50 to 100 crores annually depending on the capacities. The pipeline would be in the range of 200 odd crores. So major planned is in Mumbai, Vizag. This will help us to take care of the entire Southern India and smaller depots at other areas. So you can say it will be in the range of approximately 500 plus minus in the near future.

Nilesh Ghuge: Okay, teek hai. So, my second question what percentage of our product sales is through our own retail outlet currently?

Devendra Kumar: Right now the percentage it is not going to be very significant because we are in that expansion phase. We have still not captured the kind of market. It is a very small fraction of the total volumes and total revenues. It is approximately 2%, 1.5% I believe.

Nilesh Ghuge: Yeah, and once you achieve that 1,000 retail outlets in your own retail outlets so what kind of a revenue you expect from your own marketing business marketing sales?

Devendra Kumar: As I had mentioned earlier, we are targeting retail as a major revenue earner in future. Reason is that 1,000 is only an intermediate target. In future we want this refinery to be a full-fledged refinery and marketing business, not just limited to only refining. So, right now, we are keeping that 1,000 as an intermediate target, about 5 years target, because we do have certain challenges when you are entering the market for the first time in many of the states. So, that is a critical

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inflection point we expect. After that, we should be targeting higher numbers based on the experience. So it is targeting retail outlets, as well as the depots, that is the support. We're also opening offices, like Chennai offices is a major office. We also intend to have more marketing offices in the Upper Karnataka region, Andhra region, Telangana, and Mumbai region. So, these are our medium-term targets.

Nilesh Ghuge: Yeah, sir. And just last question from my side before I join the question queue back. SO, you're talking about the retail outlets, I mean you mean the petrol and diesel, but what about the other products marketing? What are your plans? Because that there will be some pressure for the other products as well with the other oil marketing companies are expanding, their crude throughput, or refining expansion. So what are your plans for the other products?

Devendra Kumar: So the next apart from MS and Diesel the next is the ATF. ATF we are very well placed and technically as I mentioned we would be one of the first to be compliant with that CORSIA Standards, and based on our tie-up with Shell, affiliate company, we expect this particular business to keep growing and we expect this market share to be completely with us. We do not see any dent in our ATF holdings going further.

Nilesh Ghuge: Okay, okay. Thanks, thanks a lot, sir. Thanks, and all the best.

Devendra Kumar: Thank you, Nilesh

Swarnendu Bhushan: Thank you, Nilesh. Kaushal, you can go ahead with your question.

Kaushal Kedia: Yeah, thank you for the opportunity once again, sir. Am I audible?

Devendra Kumar: Yes, Kaushal

Kaushal Kedia: Sir, I just wanted to understand we have a 15 MMTPA plant what would be the replacement cost for a plant like this, if we were supposed to set up this plant from scratch, if someone was to set up from scratch? What is the Capex required for maybe 1 MMTPA? Can you just throw some light on that?

Devendra Kumar: See, typically, there are certain thumb rules, and it varies from location to location, and also on the complexity, what you are planning, ultimately. So, if you take the latest Barmer as the latest addition, it is almost like 8,000 crore per MMT. It could be higher if you are planning a more complex sourcing and more complex processing but 8,000 crore per million ton. That is like a benchmark.

Kaushal Kedia: So. complexity that we have currently. For that, also, it's 8,000 crores per year.

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Devendra Kumar: No, it will of course increase because you are not just refining crude for your primary products but then there are other intermediate plants which have to be put up for the Petchem. That will take it to higher than 10,000 also.

Kaushal Kedia: Okay so 7,000 to 10,000 is a reasonable point of view if I was to just include replacement.

Devendra Kumar: Yes, that is right.

Kaushal Kedia: And, sir, why were the cracks? Why did the cracks suddenly shoot up in Q3? What was the reason? Was there some global reason or anything that you look back you could pin to?

Devendra Kumar: You follow the market more than us, you know the reasons. We have a lot of uncertainties prevailing in the market sourcing commercial under these sanctions. So these are playing, a very complex I can only say that this is a complex play it is yet to stabilize and this complexity is not going away immediately. So as it was mentioned in the first very first question that end of January what are going to be the implications of the sanctions who are all compliant? That will also come into picture. We are also waiting and watching and aligning ourselves to evolving market.

Kaushal Kedia: So if we want to have a management meet, how do we get in touch with you?

Devendra Kumar: You are welcome to Mangalore anytime, and all of you, you are welcome to Mangalore, You can also see the refinery, I'm sure it is going to impress you

Kaushal Kedia: So, how can we get in touch? Should we, who's the concerned person who we can get in touch? Any email addresses?

Devendra Kumar: Avin Gupta is our...

Avin Gupta: You can get in touch with me anytime, whenever you want to visit, we can plan that.

Kaushal Kedia: Sir, can I have your email address, please?

Avin Gupta: This is avin_gupta..

Kaushal Kedia: A-V-I-N.

Avin Gupta: avin_gupta@mrpl.co.in.

Kaushal Kedia: Thank you, sir. Sir, thank you very much for your patience.

Devendra Kumar: Thank you, Kaushal.

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Swarnendu Bhushan: Thanks, Kaushal. Dhaval, you can unmute yourself and, go ahead with your question.

Dhaval Popat: Yeah so basically now that the Russian crude is no longer in the part of the slate can you provide a broader percentages? I understand Middle East is a majority but still if you can give us where exactly the crude is being sourced in terms of the percentage or broader percentage if you can draw out some guidance on that.

Devendra Kumar: See about 40% of our crudes, we have collectively, together with Government of India, we are committed to Middle East crudes led by Saudi Aramco. So that gives us a very stable kind of sourcing whatever may be the geopolitical conditions and we would continue with that. Apart from that we have the tender process and tender process is aligned because we do have a complex refinery and our product mix will decide the kind of crudes which are required. Sometimes you require very sweet and light crudes, sometimes something which is heavier. And it is a combination, it could be from Middle East also but it could be from the domestic suppliers, domestic producers from ONGC both East and West Coast, as well as, Mangala Crude. And we also have this arrangement of that is one-to-one sourcing and those arrangements or MOUs are in place in some of the cases like with TOTSA or ADNOC those can always be relied upon in near future.

Dhaval Popat: Yes, okay, I understand. And is there a minimum percentage of high sulfur crude that you maintain in your state?

Devendra Kumar: I didn't give you minimum number of...

Dhaval Popat: Minimum percentage of high sulfur crude that could be maintained, that would be maintained, in your refinery slate. I understand there will be different products and different requirements, but is there a benchmark that is, that we can keep, like, the high sulfur crude that you would have in your refinery?

Devendra Kumar: High sulfur crude we don't target high sulfur crude, we target based on other components and if it turns out to be high sulfur it is not a no-go for us. It's not a deal-breaker. Because we have a sulfur treatment facility in our refinery so for us it's not an issue.

Dhaval Popat: So, let's say if I have to gauge how much percentage of heavier crudes, do you particularly use or is there a minimum benchmark that you have for heavier crudes?

Avin Gupta: Yeah, Avin this side. So see as you already know that our refinery is a complex refinery. We can even process heavy crude such as Merey or Maya apart from whatever we are processing currently but we can go up to 16, 15 API also. This is the capability the refinery has, but it really depends on the economics at that

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particular day, when we are purchasing the crude, what crude we are going towards. Our refinery is obviously biased towards heavier crude because that is economically more suiting us, because of the complex nature of the refinery. But I cannot tell our thumb rule percentage that this much only or around a set percentage we are process only heavier crude and not the lighter crude. It really depends on the opportunity that we are getting, and the complexity and the economics that the products will bring us to the table.

Devendra Kumar: Dawal, I'll put the same thing in simpler terms. See, a more complex refinery, heavier crudes can be processed more easily.

Dhaval Popat: No, no, I understand that, yeah.

Devendra Kumar: If we don't get the heavier crudes at a cheaper rate, we would not go for heavier crudes. That is the simple commercial reason for that.

Avin Gupta: Currently for the 9 months, I can mention that it is around 70-72%.

Devendra Kumar: The heavier crude.

Dhaval Popat: Oh, okay, understood. That is helpful. Thank you.

Devendra Kumar: Yep.

Swarnendu Bhushan: Thanks, Dhaval. Sir, we have two questions in the chat box. I will read that, and please try to answer that one. So, the first question is asking that the throughput that we have declared in our press release is 4.7 million metric tons, whereas PPAC is measuring 4,561 million tons. Any reason for the discrepancy in

the two?

Devendra Kumar: See what we have published is.... regarding the PPAC numbers, I can only get back to you. I'll not be able to comment immediately, because I don't have that with me immediately. You said it is 4.56.

Swarnendu Bhushan: Yes

Devendra Kumar: I hope there's no confusion between the production numbers and throughput numbers. We'll get back to you, and...

Avin Gupta: 4.56....

Devendra Kumar: You have the number. I was gonna say that. One sec,

Avin Gupta: So, the thing is, Avin this side, the 4.56 that you mentioned was the gross crude, the 4.7 Million Metric Ton that we reported in our financials that was the net crude percentage. So our revenue and the rest of the things and the bottom line is driven by the net crude that is why we focus on net crude and not the gross crude.
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Swarnendu Bhushan: Ya, The second question is, is MRPL looking to buy Venezuelan oil, for processing?

Devendra Kumar: Yes so we are actively looking at it. We've not decided, but we are looking at it. Moreover, it depends on the commercial terms. Because freights are expected to be on the higher side when you get, when the rate is also, that is, low API crude. So, we will look at the total terms and conditions and the commercials.

Swarnendu Bhushan: Sure, sir. And the last question is if you can highlight what Capex you need in the Q3?

Devendra Kumar: So we, have, committed, earlier also in Q2 that, overall CAPEX on an annual basis is in the range of about 1,500 crores. That is the kind of Capex we target, which is a mix of revamping, as well as small-time... that is, some capacities which we keep adding. It's not a capacity addition of total this, but intermediate products. Like IBB was one such product, our grid infrastructure, there are some other minor projects also, some pipeline, that is, you change... yeah, rerouting, yes.

Swarnendu Bhushan: Sure, sir. Sir, one last question from my side. So, we have also announced this Isobutyl Benzene pilot that we said that we'll do in the, next year. So, before we take, our question, I think Sarthak also has a question. Sarthak, if you can unmute yourself and go ahead, sir.

Sarthak Tita: Yeah, hi, morning, am I audible?

Devendra Kumar: Yes, Sarthak, please.

Sarthak Tita: Yeah, thank you for answering all the questions. I just had one follow-up question on the Capex part. So, you mentioned that 1,500 crores that we are planning to do in FY26. If you could just help me as to how much we have incurred till December, and also your guidance on FY27 basis, because I believe there should be some tapering off in Capex. If at all, we include the IBB part. And also, how do we see the return metrics and the project of isobutyl benzene that is coming up, and how it will add to the profitability part? And lastly, sorry for the elongated question, lastly, how should we see as the dividend payout policy for this year and next year as well, considering we are going to do good numbers in Q4 as well. Similar, like, Q2 numbers, so...a bit of clarity on this will help, yeah. Thank you.

Devendra Kumar: I'll answer the last question first. On the dividend part. A dividend, per se, is not out of discussion. And it has to be seen in the context of the three requirements. One is our own CAPEX requirement. Second is the kind of debt which we carry and the third is of course dividend. So compared to last year's annual profitability, this three quarters have been relatively good. And we did push some of
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our ongoing CAPEX to this year. Those should get completed. And if Q4 remains profitable that we might... that is the... not me personally, the board might actually look at a dividend also. So that, I will leave to the decision of the board. But that is definitely on the anvil, that looking at the overall fourth quarter, there could be a dividend possibility. Now, coming to the first question, first question was... In December. The capex was 887 crores. That is first 3 quarters. And some of our, these, projects should be coming to a major technical closure by end of March. So, this could go up to about, 1500.

Sarthak Tita: Got it, sir. And, any clarity on next year's Capex numbers? FY27?

Devendra Kumar: It will be in this similar range, because revamping is something which keeps happening constantly. You need to maintain the plant in best of working

conditions. As you can see, but for the first quarter shutdown, we would have continued to have throughput of almost 18 MMT. So it is almost 120% above the nameplate capacity, and to keep the plant running at the top performance, you need to continuously keep looking at your equipment, and whatever requires revamping has to be attended to, so we do have some ongoing projects plus some are opportunity projects, like I said, the rerouting of pipelines. So, the target remains in that ballpark point of 1500 crores.

Sarthak Tita: Sure, sir, thank you. And just very lastly, any debt number that we are looking at, considering that we have a commendable achievement to push the debt below 10,000 crores as of now, so how should we look at the debt numbers moving in this year end, as well as 27?

Devendra Kumar: You have seen our balance sheet. We have NCDs on our books. Those NCDs are not due till 28. So, whatever has been paid in December, after that, the next due date is, 28. So, it's almost, 4,500 crores is locked till 28. So the next big item is the ECBs. And ECB is right now, there's some volatility, but otherwise, the ECB gives us a certain cushion. So, we are actively evaluating that. It's a trade-off between debt reduction because if I have to pay off that ECB right now there is a foreign exchange loss. We do expect Forex market to move if the U.S. trade deal comes through and we'll take a call accordingly. Right now, it is 9.3 and it could come down, not very significantly, but it might come down if the market remains favorable.

Sarthak Tita: Okay, got it, This was very helpful, yeah. Thank you so much, and congratulations to the team.

Devendra Kumar: Thank you.

Swarnendu Bhushan: Sumit, you can unmute yourself and agree with your question. Sumit, you can mute yourself right. I think there's no response from his line, sir, so, is there one more person in the...

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Sumeet Rohra: Can you hear me now?

Swarnendu Bhushan: Yeah, ask him. He can hear you now, go ahead.

Sumeet Rohra: I mean, sorry about that. So, sir, coming back to your point on fuel marketing since you're looking at a 5X kind of growth over the next 5 years. If I recall this correctly when Reliance and BP had done a deal the valuation which they took was basically at about 10 crores per fuel outlet. So, can you basically concur with the same that, the cost to set up one fuel outlet should be you know, something like at least about 5 to 6 crores? I mean, the pure reason I ask this is, sir, today in the listed domain we've got our parent, as well as oil marketing companies which are trading at subpar valuation. So can you just help understand on one side, we see the reality is that there is substantial amount of growth in the market that, not only you, but all the companies are adding retail outlets and you're kind of clearly seeing from Mr. Hardeep Singh Puri also talking about making India a refining hub of but to the other side you have the stock markets which don't value these companies. So, can you help understand, the digress between the two? And on the valuation of fuel marketing would really help a lot?

Devendra Kumar: That's a very interesting question, and I would love to answer that. So, thanks for the question. So, first things first, the retail outlets, the cost is significantly different depending on the location. So, if it is an urban location, you are right, it could be much higher. But all the newer outlets which are coming up, so we have a mix of outlets coming up. We are also bound by certain guidelines of the ministry, government guidelines. So, it cannot be only urban, or only in the cities or only on the highways. There is a mix and match. So, the outlets, and we also have, that is, plain vanilla kind of outlets, and a slightly smarter outlet. So, the cost would vary from as low as about 1.5 crores for a smaller outlet, to something, what you have mentioned, and that will be for a bigger city kind of environment. So, for us also, it is a very similar mix and match. Right now, going forward, we have advertised ; depending on the responses, on an average, it is coming out to be in that range of 2 crores. That is the current, but whether it will continue to be in that range, same range going forward, I cannot comment on that. It will depend on the market response.

Sumeet ROhra: Understand. And sir, just one question, to the earlier participant you said that the cost to set up 1 MMT of refining is about 7,000 if I heard correctly. So today for example you have about 15 MMT, and your throughput as you mentioned is about 18. But you clearly see your market cap is only 25,000 Crore. So the point I'm trying to make is that what steps are you guys taking to increase market capitalization? Because these companies need to start trading at a much higher PE multiple than what they trade today. So, can you share some thoughts on that as well?

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Devendra Kumar: Sumit, you have, asked a question which we also ask yourselves. But yes, depending on the feedback this is a common troubling point for all the OMCs. It's not just us it is all the OMCs, PSU OMCs that the valuation is much below you rightly pointed out that. One very crucial factor is that almost the entirety of the pricing and the taxation is still considered controlled by the government, despite all the deregulations happening in this space. I'm referring to your fraternity. We keep getting that feedback. One is like we had the SAED although it is no longer there you never know if in a crisis you might again come up with some other kind of tax. That is the kind of feedback which we have got. In case of MRPL, one peculiarity is that our float is very limited. Almost 88% is with ONGC and HPCL and only balance 12% approximately is in the open market even in that 12% about 1% would be locked up in those non-participants. So the float is also an issue and we are examining it together with our parent companies to address that float issue.

Sumeet Rohra: Sure, sir. Thank you so much, and I'll probably connect with you offline. Thanks a lot, sir.

Devendra Kumar: Thank you, Sumit.

Swarnendu Bhushan: Thank you, Sumit. Sir, we have a couple of more questions on the chat box. What is the initiative to reduce the crude sourcing cost? What is the initiative to reduce crude sourcing costs?

Devendra Kumar: Sorry, I didn't get the question correctly. Is it referring to the freight or overall?

Swarnendu Bhushan: So, it would be on overall sense. So, I think whatever we are doing in terms of reducing the total cost of purchase as far as the crude basket is concerned, be it freight or maybe be say sourcing change in terms of long-term, short-term or taking benefit of arbitrage crude or freight rate as well.

Devendra Kumar: Okay. Thanks for this clarification. Like any other refiner we are also marked to market. We are not in a league to be actually dictating any of these things like OPEC or any other large company. However our margins are derived not from the absolute rate. It is derived from the cracks and that is where we make our major earnings from. And this is where we keep targeting that is a mix of export a mix of domestic term sales and now we are also targeting the retail outlets. That is where the margins for the company are. It is not just the sourcing, it is the margins which are important to us.

Swarnendu Bhushan: Another question is on our retail throughput outlet. What volumes are we doing for outlet per month?

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Avin Gupta: I'll come back on the retail outlet volume part. You may proceed with the next question. I'll clarify in a minute.

Devendra Kumar: And can you just correct? NCD number, what is that number? 3000?

Avin Gupta: The NCD that was asked the number is 3,260 crores that we are having.

Devendra Kumar: Right now, it is... this is the balance amount, 3,260.

Avin Gupta: And, ECB amount is 500 million, that comes to around 4,500 crores.

Swarnendu Bhushan: Sure, sir. So, next year and, next year we have also guided around 1,500 odd. Crore of capex. Is there a breakdown of the same thing in terms of what the maintenance Capex is and what will be going into IBB or anything like that?

Devendra Kumar: I'll request my team, they'll give you the breakdown shortly. We can go take the next question.

Swarnendu Bhushan: Question is, how much percentage of refined products are we exporting currently?

Devendra Kumar: We export almost 40% of our products in exports right now that is the percentage. It may change quarter on quarter, but I'm giving you the figure on a running basis. last year.

Avin Gupta: And additionally the retail outlet sale is around 120KL per month per outlet.

Swarnendu Bhushan: Thank you, sir. The person is asking what is our expectation on GRM considering that capacity is becoming constrained globally.

Devendra Kumar: GRM, if you follow the markets, it is still quite healthy, although we did say that it is going closer to Q2. In fact, it's not as high as Q3, but it is still quite healthy. And it suits us because very high GRMs we know market will not be able to sustain the kind of GRMs which we saw in Q3. We did have spikes beyond that 21 (cracks) also.

Swarnendu Bhushan: Sure, so that's all from the chat box also, sir. If you have the Capex breakdown, we can take that, and otherwise we will just close.

Devendra Kumar: Capex breakdown we have. Just give us half a minute, yes.

Avin Gupta: So, in 1500 crores around 400 to 450 crores will be towards the growth part of it so retail outlets and other projects or grid power import and all those things. The rest you can take towards maintenance, okay?

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Devendra Kumar: Revamping, that is what we got.

Swarnendu Bhushan: Sure, sir. One last question. What is the IRR we are expecting from IBB? If you could share some financials in terms of absolute building project that we are doing. What capacity is required, capacity and all that stuff?

Devendra Kumar: So regarding IBB it's a pilot project and we are still quite a few years from its commercialization. So we need to go across many decision gates. First is the technical inspection of that. It has to meet stringent quality norms. And we are quite hopeful of that. After that to get the licenses we still see about 3-4 years down the line. And only after that we'll be in a position to take a realistic view on the IRR. It also depends on the market conditions at that point in time. So right now taking a call on IRR is a little too early to comment on that.

Swarnendu Bhushan: Okay, sir, so that was the last question, sir. On behalf of PL Capital we would like to thank all the participants for their valuable time. We'd also like to thank the management on sharing their insights. Thank you very much sir. Have a nice day.

Devendra Kumar: I would like to thank each one of you who has shown interest in the company and taking time out. I would like to re-emphasize, each one of you is invited to visit our plant, and we are available to meet once again in person, also. Thanks for your time, and if there are any questions which remain ambiguous or unanswered, please feel free to contact my investor cell, Avin Gupta is the person, and we'll be happy to respond to you once again. Thank you.

Swarnendu Bhushan: Thanks a lot.

Devendra Kumar: Thank you.

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